

Global Energy Storage

Global Energy Storage: Have lithium prices peaked?



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Lithium carbonate prices have tripled from 2025 lows, reaching ~\$30k/t in May before easing to \$20–25k/t on supply restarts, which we view as a short-term buffer. We continue to view the market as being in a mid-cycle recovery rather than approaching a peak. Inventories are tight at ~20 days, capex has yet to recover, and supply growth is starting to moderate. On the demand side, robust battery demand led by ESS continues to absorb higher prices. Taken together, we see further upside risks, with prices likely peaking closer to 2027.

Lithium demand has grown ~32% year to date, outpacing supply growth of ~24% and driving a meaningful market tightening. The key driver has been ESS, with demand up ~100% YTD, offsetting more moderate EV growth of ~9%. On the lithium supply side, growth has been led by China (+30%), Chile (+25%), and Argentina (+106%), while Australia (+6%) and Zimbabwe (+16%) have lagged, contributing to a tighter-than-expected balance.

We estimate ~200kt LCE of curtailed supply is gradually returning to the market although this only provides a short term buffer. While this may help partially close the supply gap in 2026, it is unlikely to keep pace with demand growth as capacity additions slow beyond 2026, leaving the market increasingly tight into 2027.

Inventories have tightened significantly, with lithium inventory days falling to ~20 days year to date. Historically, lithium prices tend to rise more sharply once inventory falls below ~20 days, with spikes often occurring closer to ~15 days or lower. Current levels suggest the market has moved from balanced toward tightening, with inventory now firmly within a range that has historically supported stronger pricing momentum.

Current higher lithium prices have not led to any meaningful demand slowdown. We expect ESS markets can absorb lithium carbonate prices in the ~\$30k/t range based on underlying project economics. Importantly, sustained higher prices are required to incentivize new supply, particularly given long development timelines and the lag in capex following the recent downturn across the sector.

We have revised up our lithium price assumptions to reflect tighter lithium market. We now estimate lithium carbonate prices of ~\$25k/t in 2026 (from \$21k/t previously) and ~\$32.5k/t in 2027 (from \$25k/t), while maintaining our long-term price assumption of \$16k/t. This reflects both tighter near-term market conditions and required to sustain long-term supply growth.

Despite the recent rally in lithium prices, Tianqi Lithium's valuation remains attractive. We update our earnings estimates and valuation to reflect higher lithium price assumptions in 2026 and 2027. Following the higher price assumption, we revise up our DCF-based valuation for Tianqi Lithium to RMB80/sh (from RMB73) for Tianqi (A-share) and HKD65/sh (from HKD61) for Tianqi (H-share), using a 9% WACC and terminal growth rate of 2% (both unchanged). This assumes a long term lithium carbonate price of \$16k/t. The stock currently trades at ~17x 1-year forward P/E, well below its historical average of ~50x, suggesting scope for further re-rating as the cycle strengthens.

BERNSTEIN TICKER TABLE

Ticker	Rating	22 Jun 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
300750.CH (CATL)	O	CNY	408.98	800.00	25.0%	CNY	16.14	21.95	28.77	25.3	18.6	14.2
3750.HK (CATL)	M	HKD	741.50	770.00	102.4%	CNY	16.14	21.95	28.77	39.7	29.2	22.3
247540.KS (EcoPro BM)	U	KRW	169,400	140,000	15.7%	KRW	403.00	854.00	1,963.00	420.3	198.4	86.3
051910.KS (LG Chem)	M	KRW	336,500	298,000	6.4%	KRW	13,258.70	2,042.47	31,118	(25.4)	164.8	10.8
373220.KS (LGES)	M	KRW	404,500	347,000	(19.7)%	KRW	(5,308.10)	1,811.04	9,452.97	(76.2)	223.4	42.8
003670.KS (Posco Future M)	U	KRW	199,600	190,000	1.5%	KRW	(2,740.96)	376.72	898.20	(72.8)	529.8	222.2
006400.KS (SDI)	M	KRW	564,000	520,000	157.6%	KRW	(9,933.80)	2,099.51	18,376	(56.8)	268.6	30.7
002466.CH (Tianqi Lithium)	O	CNY	64.97	80.00	74.5%	CNY	0.28	3.90	7.75	230.2	16.6	8.4
OLD				73.00				3.29	6.18			
9696.HK (Tianqi Lithium)	O	HKD	44.64	65.00	29.1%	CNY	0.28	3.90	7.75	136.6	9.9	5.0
OLD				61.00				3.29	6.18			
ASIA			2,048.07									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

003670.KS base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Lithium carbonate prices have more than doubled to above ~\$20k/t from 2025 lows, yet we view the market as mid-cycle with further upside as supply response continues to lag tightening fundamentals. Lithium demand has grown ~32% YTD, led by ESS (+100%), outpacing supply growth of ~24% and driving a meaningful market tightening. Inventory days have fallen to ~20 days, a level historically associated with stronger price momentum. While ~200kt of curtailed supply may return in 2026, this is only a temporary buffer, with 2027 expected to tighten further. Demand remains resilient, with ESS and EV markets able to absorb prices in the ~\$30k/t range. We raise our price forecasts to \$25k/t in 2026 and \$32.5k/t in 2027, with Tianqi offering attractive upside.

VALUATION COMPS TABLE

EXHIBIT 1: **Lithium companies valuation comparison table**

Company	Ticker	Market cap (USD bn)	12 month return	2025 P/E	2025 P/S	2025 EV/EBITDA	2024 Revenue (USD bn)	Lithium % of Rev.	24-25 Rev Growth	2024 OPM
Tianqi Lithium	9696 HK Equity	14.9	77%	153.5	10.3	23.2	1.8	100%	-9%	39%
Ganfeng Lithium	1772 HK Equity	20.0	183%	199.5	8.1	59.0	2.6	74%	18%	0%
Yahua Industrial Group	002497 CH Equity	3.8	106%	44.7	2.9	22.7	1.1	79%	16%	5%
Yongxing Special Materials	002756 CH Equity	4.9	105%	40.3	4.3	33.2	1.1	55%	0%	16%
Jiangxi Special Electric Motor	002176 CH Equity	2.8	61%	n.a.	n.a.	n.a.	0.3	81%	n.a.	n.a.
Chengxin Lithium Group Co Ltd	002240 CH Equity	6.2	283%	-75.2	11.2	n.a.	0.6	99%	2%	-11%
Zangge Mining Co Ltd	000408 CH Equity	17.7	94%	34.1	35.7	n.a.	0.5	38%	0%	88%
Qinghai Salt Lake Industry Co	000792 CH Equity	23.3	89%	21.8	8.2	16.5	2.1	30%	0%	39%
Rongjie Co.	002192 CH Equity	3.3	213%	n.a.	n.a.	n.a.	0.1	84%	0%	n.a.
Jinzhou Yongshan Lithium Co Lt	603399 CH Equity	1.5	150%	n.a.	n.a.	n.a.	0.8	35%	n.a.	n.a.
Average (China)			143%	44.2	11.7	32.9				23%
Albemarle	ALB US Equity	18.9	183%	-195.7	4.4	21.0	5.4	74%	-6%	-11%
SQM	SQM US Equity	21.9	148%	34.1	5.7	16.8	4.5	69%	0%	27%
Sigma Lithium Corp	SGML US Equity	1.5	187%	-80.4	13.1	-129.6	0.2	100%	-24%	0%
Average (Americas)			173%	-80.7	7.7	-30.6				5%
Mineral Resources Ltd	MIN AU Equity	9.8	222%	-60.4	3.4	18.1	3.5	40%	-16%	9%
PLS Group Ltd	PLS AU Equity	14.0	350%	-280.5	27.9	257.4	0.8	100%	-40%	36%
IGO Ltd	IGO AU Equity	4.6	104%	-51.0	13.1	383.1	0.6	81%	-40%	19%
Liontown Ltd	LTR AU Equity	4.6	190%	n.a.	n.a.	n.a.	0.0	100%	n.a.	n.a.
Average (Australia)			216%	-130.6	14.8	219.5				22%

Tianqi Lithium is covered by Bernstein. All other companies are not covered by Bernstein. Market data as of June 18, 2026

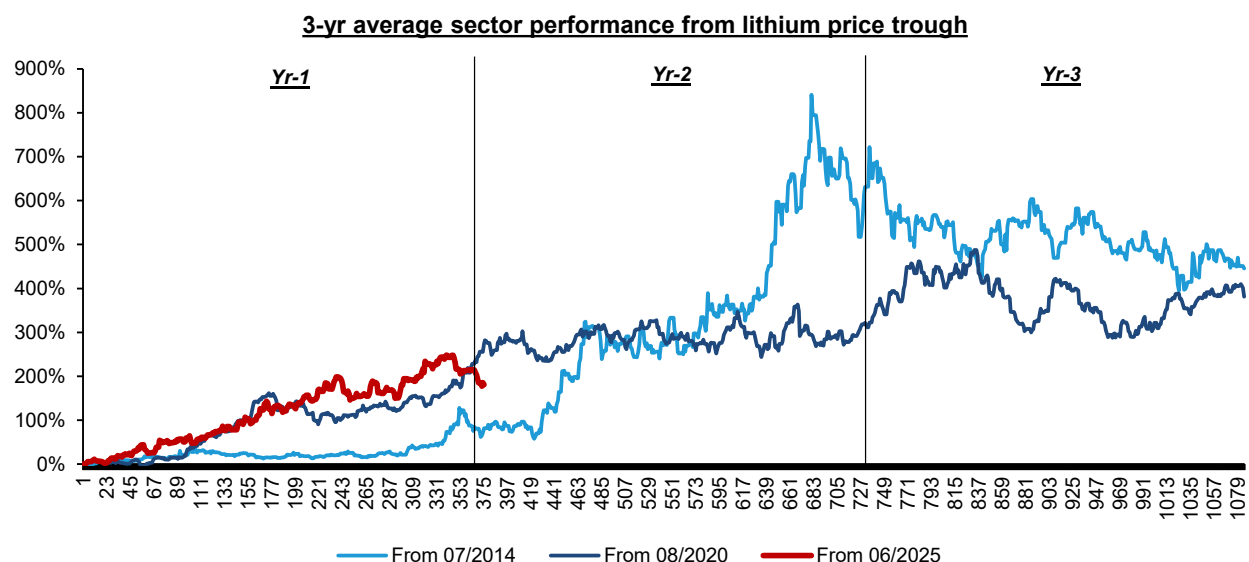
Source: Bloomberg (consensus estimates), Bernstein analysis

DETAILS

SUMMARY

We expect the lithium market to remain a highly cyclical industry with supply responding elastically to price changes. Since our last lithium supply and demand update from last December ([Global Energy Storage: 2026 Lithium Outlook. How high can prices go?](#)), lithium carbonate prices have more than doubled and market sentiment has turned far more constructive. We still view the industry as mid-cycle rather than late-cycle. The key change has been stronger-than-expected battery demand, led by energy storage, which has tightened the market much faster than we previously expected. While lithium equities have already rebounded sharply, historical cycles suggest the move in the underlying commodity can still have room to run once inventories tighten and supply response lags. Lithium stocks often recover 6 to 12 months ahead of spot prices. In our view, the current rebound is consistent with the middle part of the cycle rather than the end, with the setup still supportive through 2027.

EXHIBIT 2: Historical cycles suggest that entering lithium stocks at the bottom can be attractive over a 2-year horizon

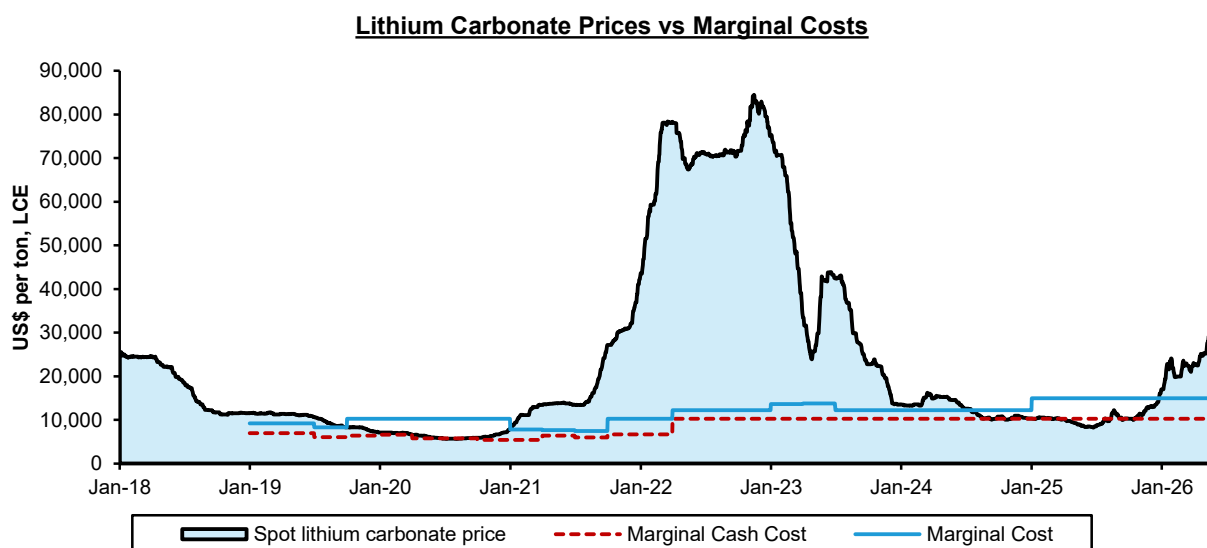


Companies include Albermarle, SQM, Tianqi Lithium, Ganfeng Lithium, Pilbara Minerals, Livent, and Allkem

Source: Bloomberg, Bernstein analysis

Lithium carbonate prices fell from a peak of \$80k/t in November 2022 to a trough of around \$8k/t in mid-2025, but have since recovered to around \$20-25k/t. Unlike six months ago, prices are now well above marginal cash costs and high enough to encourage some curtailed supply to restart. Even so, the industry is still coming off two years of weak returns and capex cuts, meaning supply response should remain slower than the increase in demand over the next 12 to 18 months.

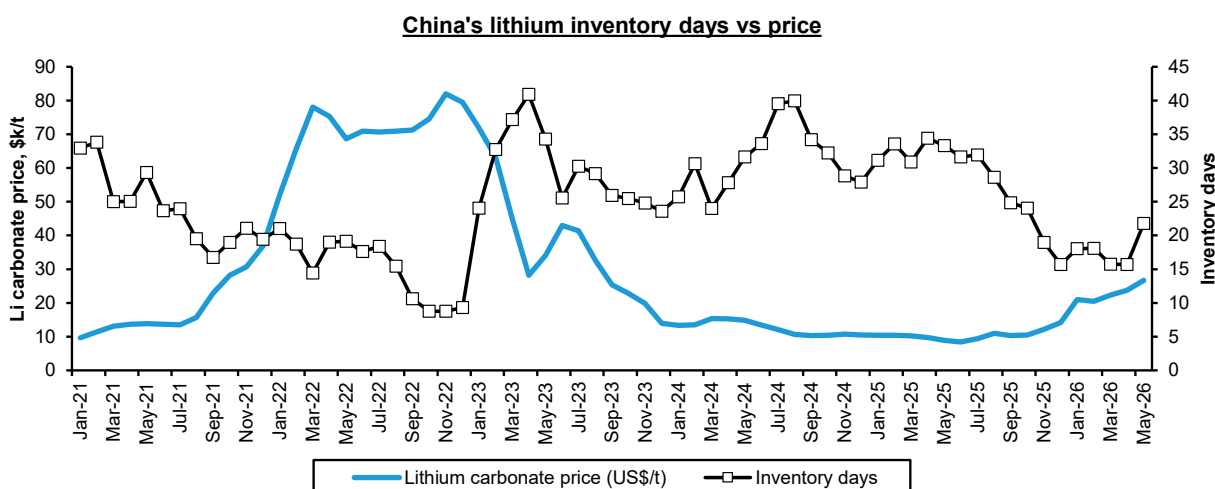
EXHIBIT 3: Lithium prices have rebounded to around \$20-25k/t from the 2025 trough, but we still see further upside as the market tightens



Source: Company data, Bloomberg, Bernstein estimates and analysis

Year to date, lithium demand has increased by around 32% while supply has grown by around 24%, implying demand has outpaced supply and the market has tightened materially. The key driver has been energy storage, with ESS demand up around 100% year to date compared with EV demand growth of around 9%. As a result, lithium inventory days have fallen to below 20 days, the lowest level since 2022, which has been a key driver of the sharp rise in lithium prices this year. Lithium prices remain highly correlated to inventory days. While the relationship is not perfect, prices have historically moved sharply higher when inventory falls below 20 days. With inventory now back in that range, the market appears to have shifted from a balanced market to a tightening market, which is more supportive for pricing than at the start of the year.

EXHIBIT 4: Inventory days have fallen below 20 days, a level that has historically been supportive of stronger lithium prices

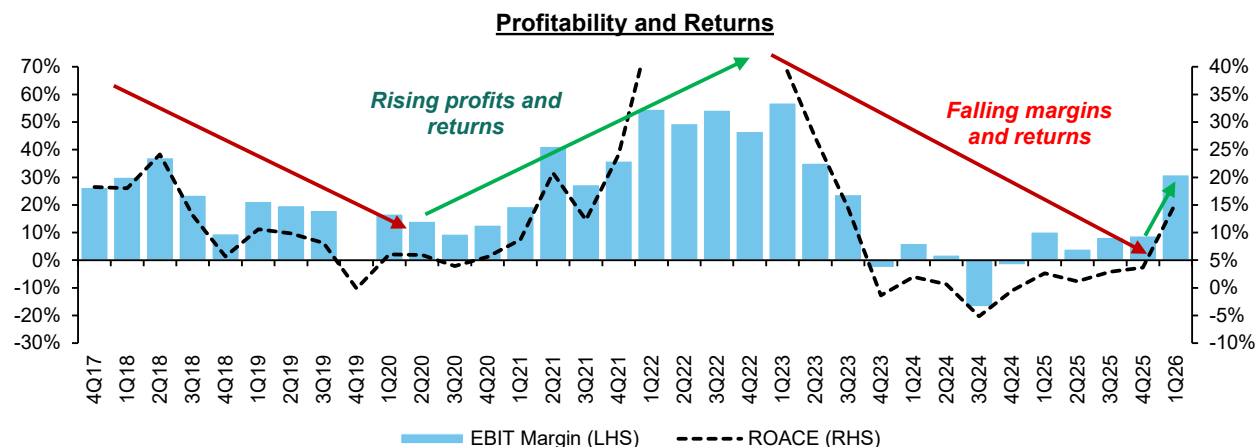


Source: SMM, SNE, Bernstein estimates and analysis

The improvement in prices should lead to better profitability for lithium producers, but the industry is still recovering from a prolonged downturn. Returns on capital have been compressed for the last two years and balance sheets remain a focus for management teams. This matters because even with a stronger price signal today, the supply side is unlikely to respond

immediately given prior capex cuts and the time needed to restart or expand operations.

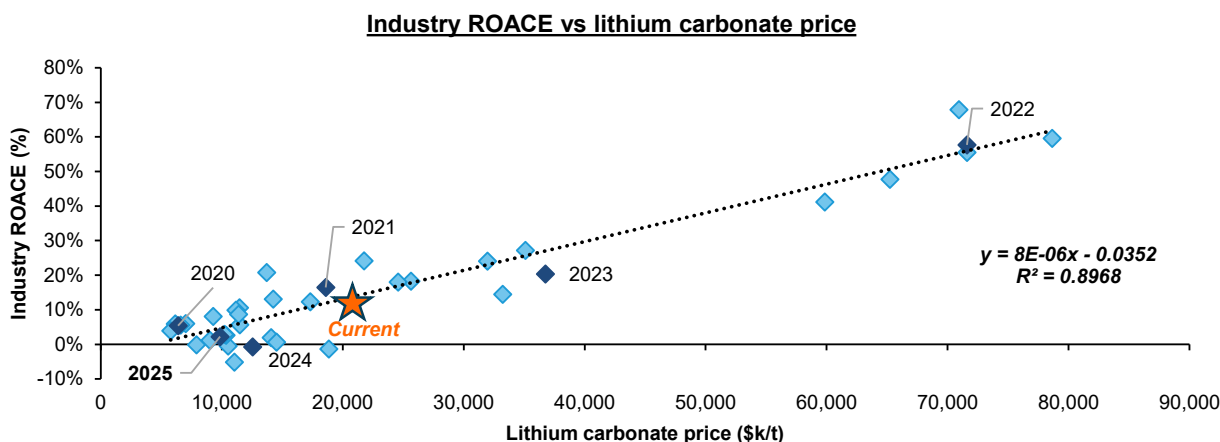
EXHIBIT 5: Average return on capital for the industry have remained close to zero for the last two years and have only started recovering



Source: Bloomberg, Bernstein analysis

Historical correlation indicates the industry generally needs lithium prices in the range of \$15-20k/t to earn around a 10% return on capital. Current prices are now above that range, which should support the restart of curtailed production and improve producer economics. However, a stronger and more durable price signal is still needed to drive a broader newbuild cycle, especially for projects with longer lead times or higher capital intensity.

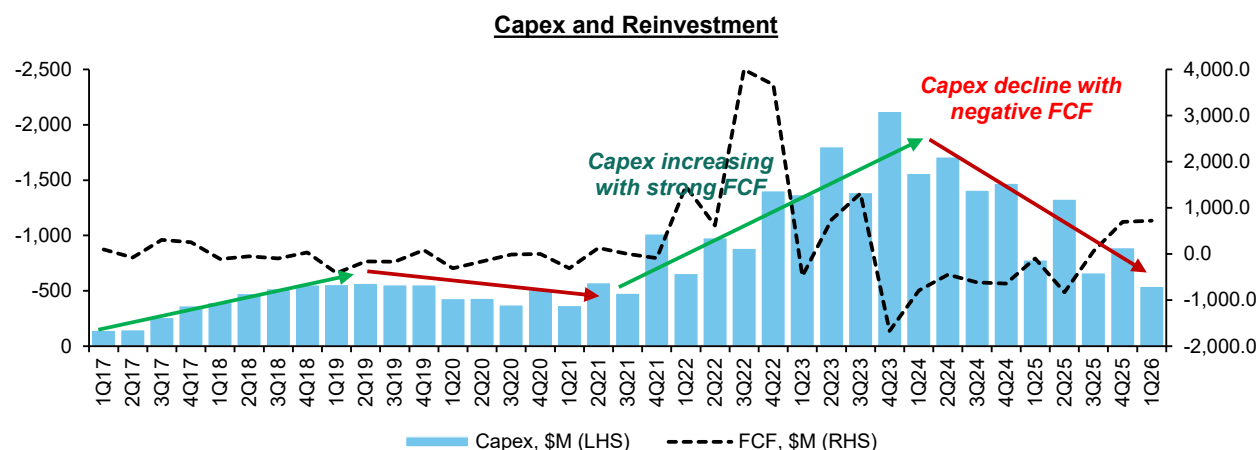
EXHIBIT 6: Based on historical correlation, the industry needs a lithium price of \$15-20k/t to achieve a 10% return on capital



Source: Bloomberg, Bernstein analysis

Capex peaked at the end of 2023 and fell materially through 2024 and 2025 as producers focused on preserving balance sheets. Even though spot prices have recovered, the investment response should lag because managers are unlikely to reverse course immediately after a deep downturn. In our view, that lagged capex response is one of the main reasons the market can remain tight through 2026 and into 2027.

EXHIBIT 7: Capex is expected to have fallen by 50% in 2025 which would take lithium investments to a 3-year low. Higher price signal is required to drive new supply growth



Source: Bloomberg, Bernstein analysis

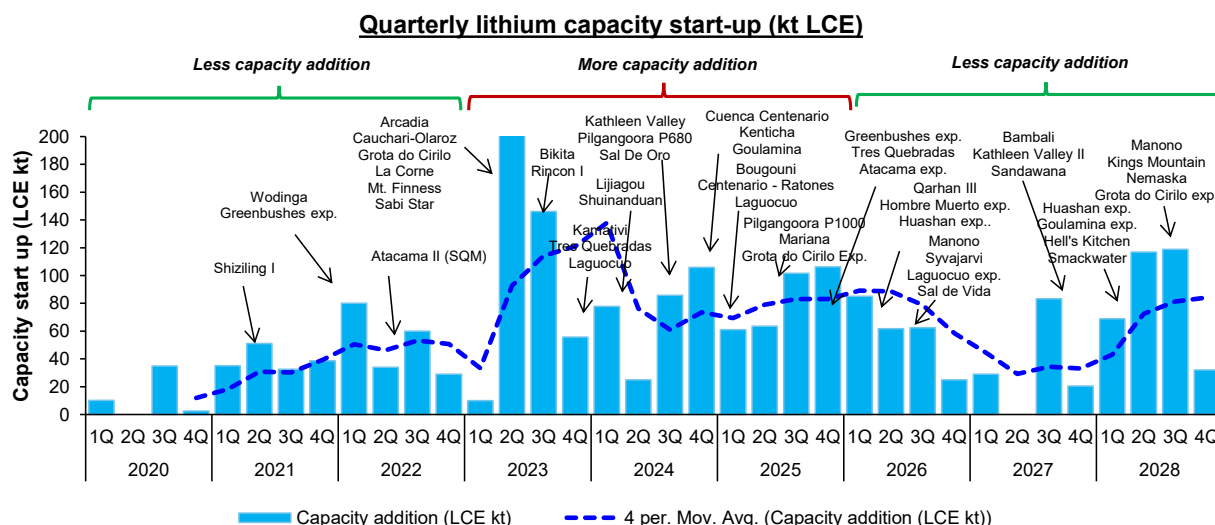
Low prices in the last two years led to the curtailment of a meaningful amount of higher-cost supply. We now estimate around 200kt LCE of previously curtailed production could return as prices recover. This should help fill part of the supply gap in 2026, but if demand remains strong it is unlikely to be enough to prevent further tightening in 2027.

EXHIBIT 8: Higher prices are bringing back curtailed supply, but around 200kt LCE of restarts is still not enough to solve 2027 tightness

Existing projects under C&M or running at reduced rates			
Project	Status	Underutilized capacity (kt LCE)	Cash costs (\$/t LCE)
Finniss (Australia)	Restarted in May-26	14	12,000
Bald Hill (Australia)	Restarted in May-26	19	9,168
Ngungaju (Australia)	Restart in July-26	24	8,712
Mt Cattlin (Australia)	Care and maintenance	29	11,272
Jianxiawo (China)	Care and maintenance	45	15,000
Sabi Star, Kamativi, Bikita (Zimbabwe)	Reduced operating rates	29	8,291
Other lepidolite mines (China)	Reduced operating rates	30	15,000
Total		191	

Source: Company data, Bernstein analysis

Taking a closer look at supply start-ups over the coming quarters, there are still projects ramping up in 2026 as a result of FIDs taken during 2021 to 2023. However, beyond mid-2026 the pace of new capacity additions is still expected to slow materially. That means the near-term supply response should come more from restarts than from large greenfield growth, which keeps the medium-term outlook supportive for prices.

EXHIBIT 9: **Beyond the near-term restarts and ramp-ups, the pace of new capacity additions still slows materially**

Source: Company data, Bernstein estimates and analysis

The setup for 2026 is now more constructive than we had expected at the start of the year. We estimate full-year battery demand will grow by around 40%, translating into lithium demand growth of around 33% in 2026. In contrast, we expect new lithium capacity growth of only around 16% this year. This implies a further tightening in market balance, especially as demand is being pulled higher by ESS rather than just EVs.

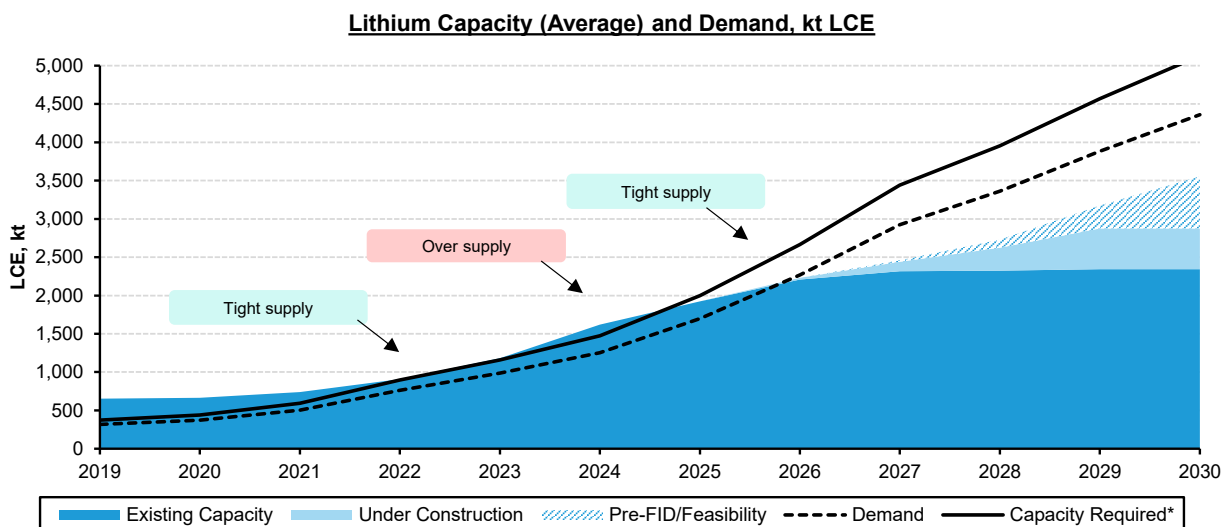
In the long run, we still expect lithium demand to remain on a strong structural growth path, supported by EVs, ESS and wider electrification. However, the nearer-term point is that the market is tightening faster than the project pipeline can respond. Even if long-term capacity plans remain broadly intact, delayed investment over the last two years raises the risk of undersupply before the industry can scale again.

EXHIBIT 10: **Demand is growing faster than capacity and we expect the lithium market to tighten further through 2026 and 2027**

Lithium S/D	Units	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Demand	kt, LCE	373	503	763	986	1,253	1,700	2,267	2,925	3,360	3,882	4,360
Growth	kt, LCE	55	130	260	223	267	447	567	658	436	522	477
Growth	%	17%	35%	52%	29%	27%	36%	33%	29%	15%	16%	12%
Required Capacity	kt LCE	439	592	898	1,160	1,474	2,000	2,666	3,441	3,953	4,567	5,129
Capacity (Year end)	kt, LCE	701	858	1,061	1,545	1,839	2,172	2,406	2,617	3,058	3,515	3,668
Capacity (Average)	kt, LCE	665	740	909	1,182	1,618	1,922	2,230	2,459	2,727	3,173	3,554
Growth	kt, LCE	62	75	169	273	436	304	308	228	268	446	381
Growth	%	10%	11%	23%	30%	37%	19%	16%	10%	11%	16%	12%
Demand % of Ave. Capacity	%	56%	68%	84%	83%	77%	88%	102%	119%	123%	122%	123%

Source: Company data, SNE, Bloomberg, Bernstein estimates (2026+) and analysis

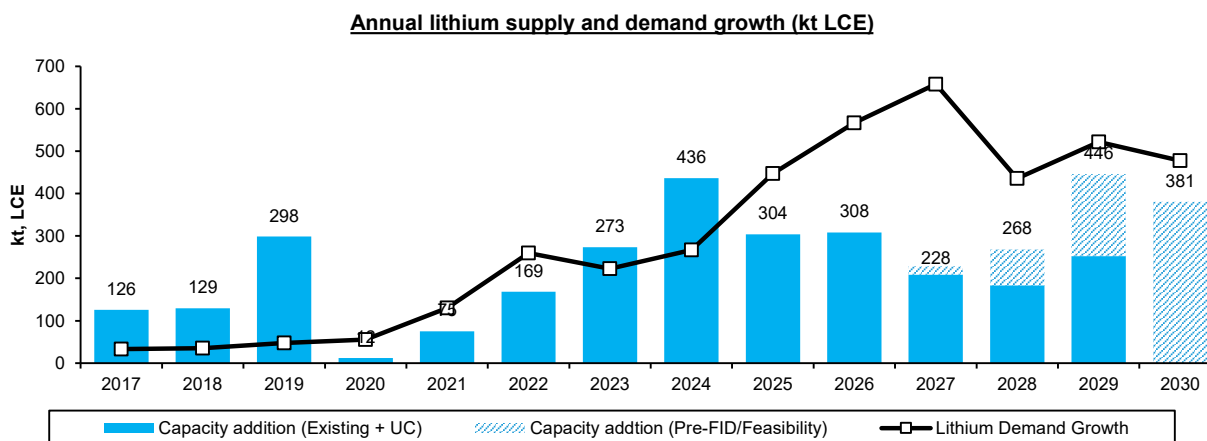
We believe a meaningful supply deficit is emerging. The return of around 200kt LCE of curtailed capacity should help the market in 2026, but it is unlikely to fully close the gap if battery demand continues to grow at current levels. Looking into 2027, we expect capacity growth to slow further to around 10%, which raises the risk that the market tightens more significantly next year.

EXHIBIT 11: Supply is now tightening faster than market expectations, with further pressure likely into 2027

Capacity Required* = Demand / 0.9

Source: Company data, SNE, Bloomberg, Bernstein estimates (2026+) and analysis

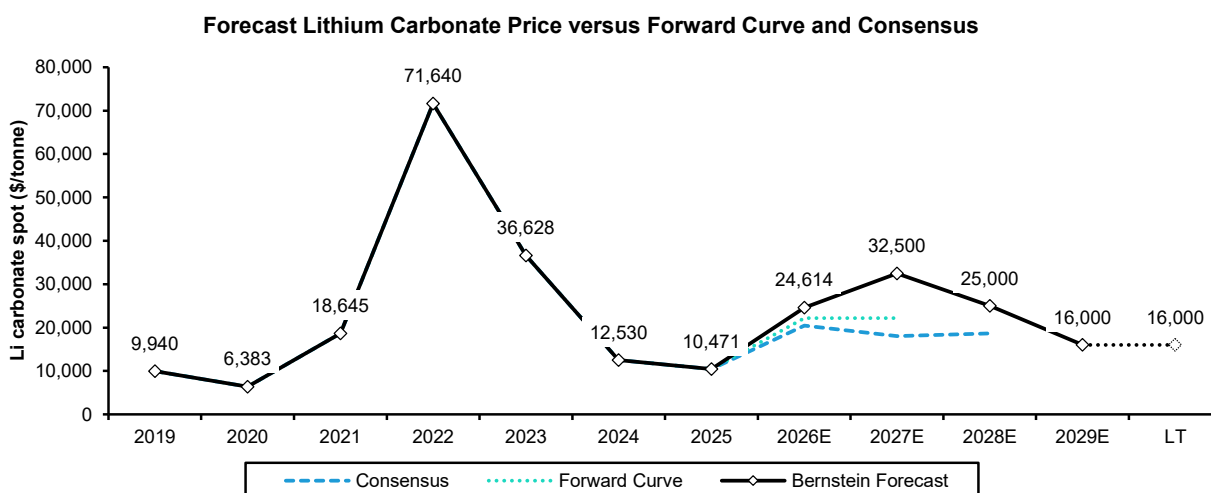
We now believe lithium prices are already in the upcycle rather than merely approaching it. Given it takes an average three years to develop a project from FID to production, we see the risks of lithium undersupply rising in 2027 with demand exceeding planned capacity. In 2024 and 2025, we estimate an average c.370ktpa LCE per year of new capacity came online annually versus demand growth of 360ktpa which was balanced. In 2026, we estimate only around 300ktpa of capacity growth which is not enough to keep up with demand growth of c.500ktpa. As such, markets is expected to tighten and spot lithium prices will trade above marginal costs to incentivize investments.

EXHIBIT 12: In 2026, we estimate only around 300ktpa of capacity growth which is not enough to keep up with demand growth of c.500ktpa

Source: Company data, SNE, Bernstein estimates and analysis

We have revised our lithium price forecast materially higher. Based on our current supply and demand outlook, we now expect spot lithium carbonate prices to average around \$24.6k/t in 2026 and \$32.5k/t in 2027. Future prices are currently trading at \$22k/t in 2026 and 2027 and consensus is lower at \$18k/t in 2027. In the long term, we believe lithium carbonate will trade at the marginal cost of supply at US\$16k/t.

EXHIBIT 13: **Based on our lithium supply and demand outlook, we expect lithium spot prices will average \$24.6k/t in 2026, \$32.5k/t in 2027 and \$16k/t long term**



Source: Bloomberg, Bernstein estimates and analysis

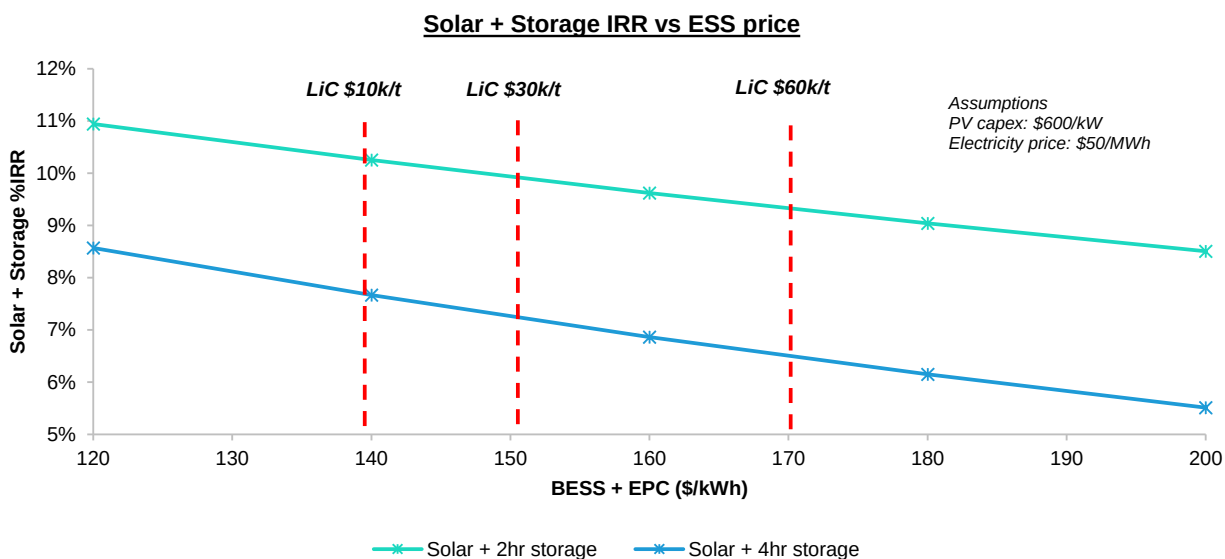
Prices cannot rise indefinitely because end markets still need to absorb higher battery input costs. In our view, both the ESS and EV markets can still absorb lithium carbonate prices in the \$30-35k/t range, especially given how sharply battery and system costs have fallen over the last two years. That suggests there is still upside room from current price levels of around \$22k/t before demand elasticity becomes a more meaningful constraint. At the current spot lithium carbonate price, we estimate the total BESS cost including EPC would be \$145/kWh. The cost of lithium would be \$13/kWh, accounting for 9% of the total energy storage system cost.

EXHIBIT 14: **Sensitivity of BESS costs to lithium prices**

LCE price (US\$/t)	10,000	20,000	30,000	40,000	50,000	60,000	70,000	80,000
Li cost	6	13	19	25	32	38	45	51
Other cell/pack components + margins	65	65	65	65	65	65	65	65
LFP pack	71	78	84	90	97	103	110	116
BESS components + margins	17	17	17	17	17	17	17	17
BESS	88	94	101	107	114	120	126	133
EPC	50	50	50	50	50	50	50	50
BESS + EPC (\$/kWh)	138	145	151	157	164	170	176	183
Li cost % of BESS + EPC	5%	9%	13%	16%	19%	22%	25%	28%

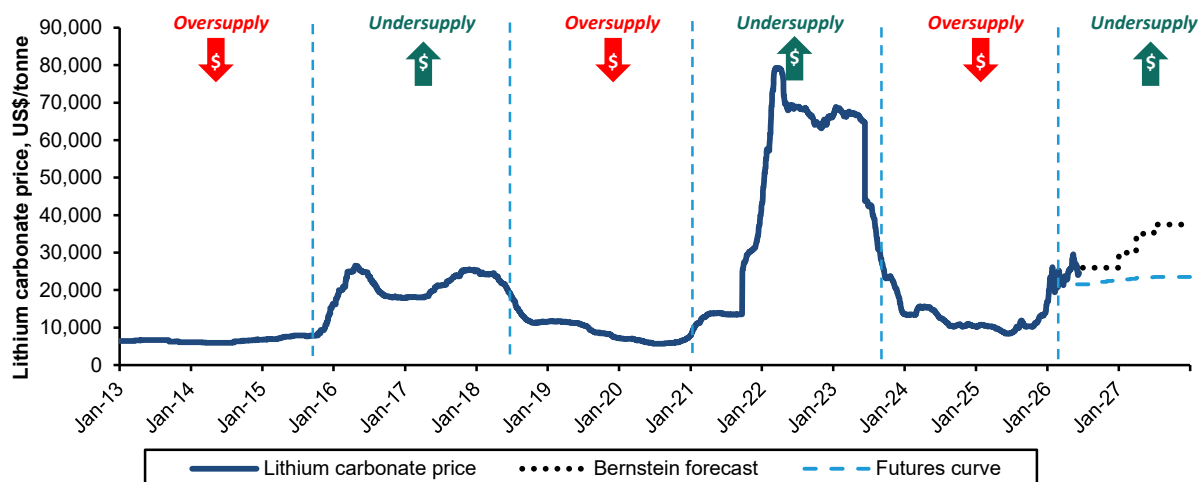
Source: Baiinfo, SMM, Bloomberg, Bernstein analysis

At \$145/kWh, the economics for China's solar and storage still looks fairly favorable with IRR above 10% for 2 hours storage and higher than 7% for 4 hours storage. At \$30k/t, the total ESS system cost goes up to around \$151/kWh which still looks reasonable. Overall, lithium price movements have a meaningful but not dominant impact on full ESS system cost because lithium is a big driver of cell prices but cells are only one part of the installed system.

EXHIBIT 15: Lithium is a big driver of cell prices but not too significant within total ESS cost


Source: Baiinfo, SMM, Bloomberg, Bernstein analysis

Overall, we continue to believe lithium prices bottomed in 2025, but the market has since moved faster than expected and is now in a clear tightening phase. The industry still shows the classic features of a mid-cycle recovery: prices have rebounded, inventories have tightened, curtailed supply is starting to return, but new greenfield investment is still lagging. That combination should remain supportive through 2027.

EXHIBIT 16: The setup remains positive for higher lithium prices given we are mid-cycle


Source: Bloomberg, Bernstein estimates and analysis

We expect Tianqi's share price will continue to rise ahead of our higher lithium price outlook through 2026 and 2027. Tianqi's share price has historically moved 6-12 months ahead of spot lithium carbonate prices.

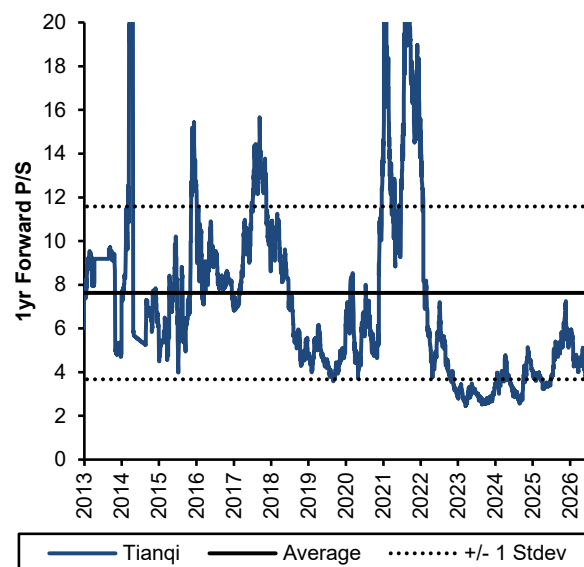
EXHIBIT 17: Tianqi's share price moves 6-12 months ahead of spot lithium prices. We expect Tianqi share price to rise, ahead of our higher price view



Source: Company data, Bernstein analysis

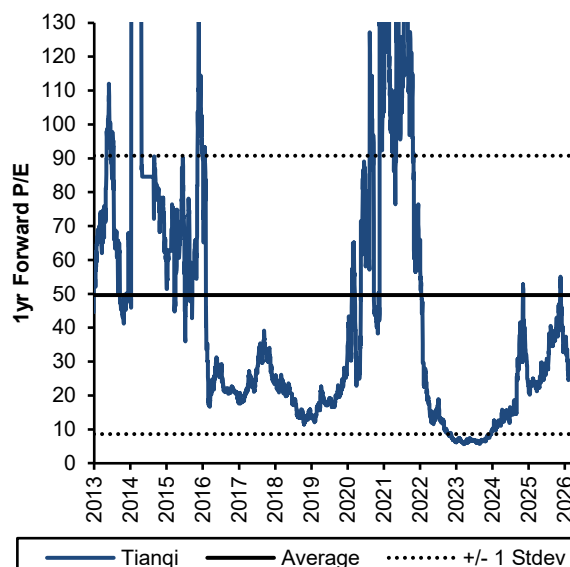
Considering Tianqi's growth outlook and a more bullish market stance, current valuation looks reasonably attractive with potential to trade above its long term average. Tianqi's stock is currently trading at 17x 1-year forward P/E which is below the long term average of 50x. 1-year forward P/S is trading at 4x which is still lower than long term 8x.

EXHIBIT 18: Tianqi's 1yr forward P/S



Source: Bloomberg, Bernstein analysis

EXHIBIT 19: Tianqi's 1yr forward P/E



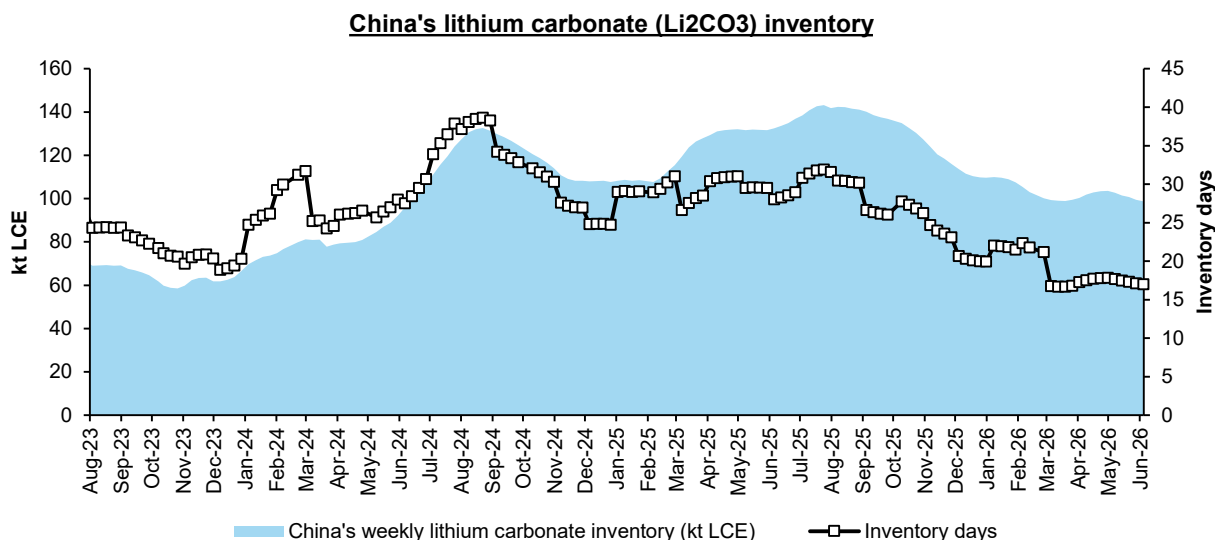
Source: Bloomberg, Bernstein analysis

LITHIUM INVENTORY

Changes in lithium inventory is key to tracking supply and demand balance. While there is no standard measure for lithium inventory globally, China's dominance in the battery supply chain means that it also has a significant position in managing storage. Looking at real-time weekly lithium carbonate inventory in China, storage peaked at the end of July 2025 and have

continued to decline to November. Inventory days have fallen to below 20 days in recent weeks which is the lowest since 2023.

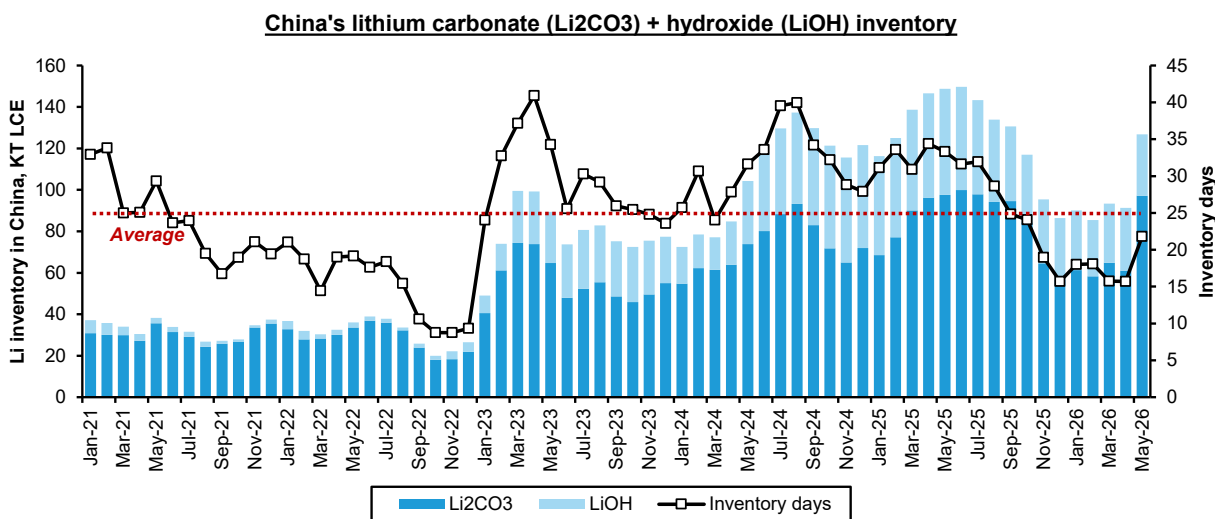
EXHIBIT 20: Real-time lithium inventory days in China are at the lowest since 2023



Source: SMM, SNE, Bernstein estimates and analysis

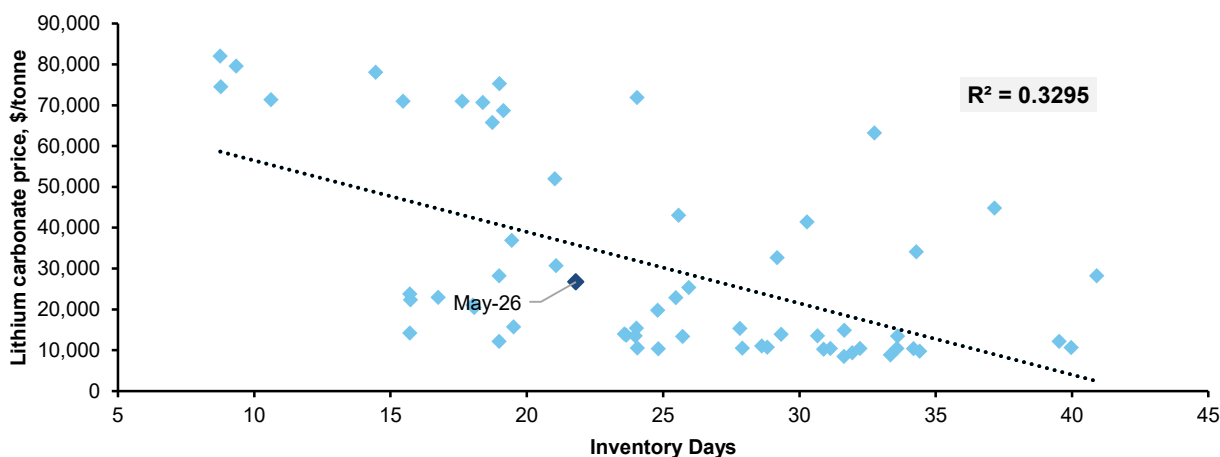
China's lithium inventory have been in decline through 2025 and has remained at a low level at under below 100kt for most of 2026 year to date. Inventory days which are arguably more important have fallen from 30-35 days to around 20 days or lower which signals the market has tightened and that prices can remain firm.

EXHIBIT 21: Lithium inventory has fallen below 20 days, implying a tighter market and stronger support for prices



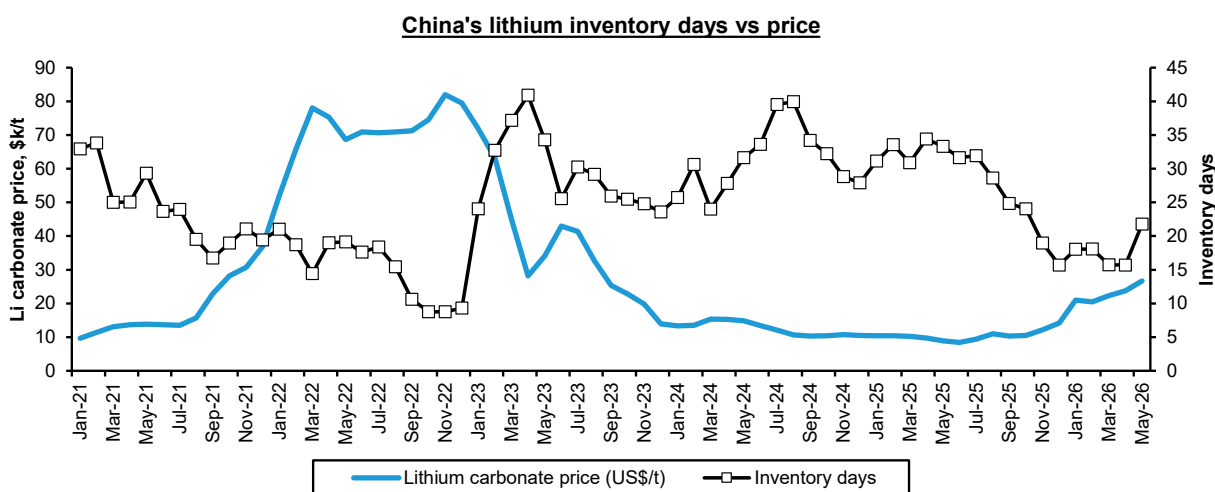
Source: SMM, SNE, Bernstein estimates and analysis

Lithium prices are historically correlated to inventory days with an R-squared of 0.33. While the correlation is not perfect, lithium prices tend to rise as inventory days declines with prices rising sharply particularly when inventory days fall below normalized levels.

EXHIBIT 22: Lithium prices are highly correlated to lithium prices. Current inventory datys are aligned with average

Source: SMM, SNE, Bernstein estimates and analysis

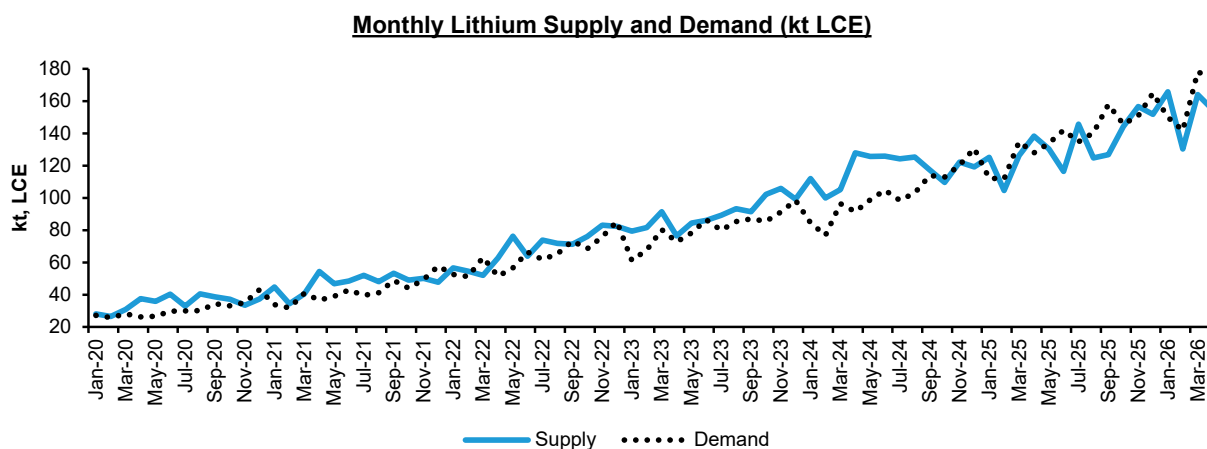
China's spot lithium carbonate price peaked at \$70-80k/t in 2022 when inventory days fell below 15 days. We are not arguing for a return to those extremes, but current sub-20-day inventory is consistent with further upside from here and supports our view that the market is in a tighter phase than many investors had expected.

EXHIBIT 23: Sub-20 inventory days support further upside in lithium prices versus our prior balanced-market view

Source: SMM, SNE, Bernstein estimates and analysis

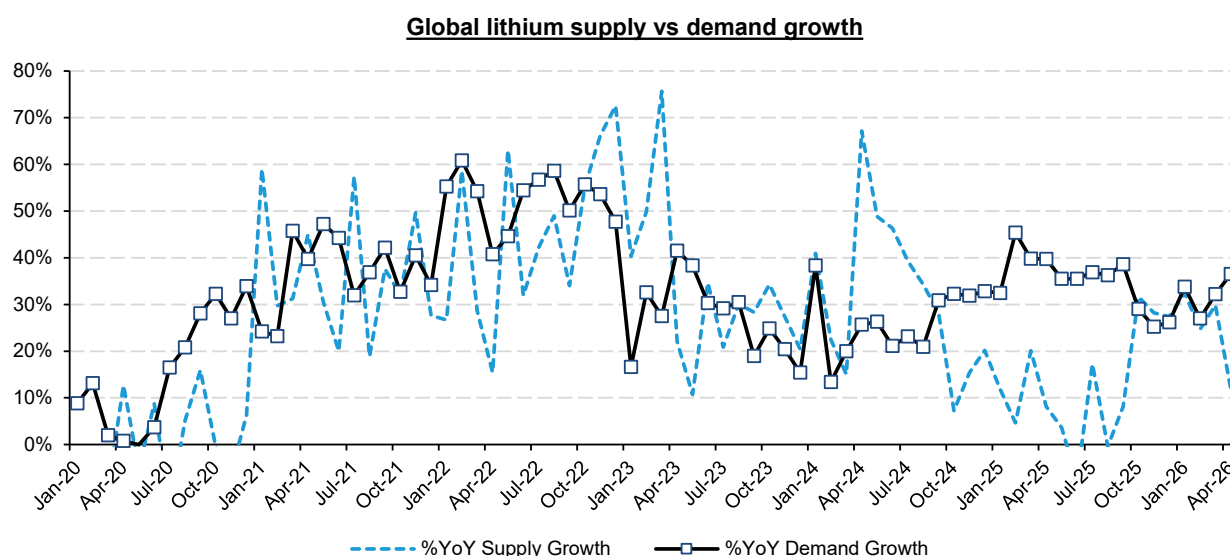
SUPPLY AND DEMAND TREND

Global lithium supply and demand was largely balanced in January-April with 0.62MT LCE of supply versus 0.64MT LCE of demand. Although the market looks to be largely balanced year to date, it is important to note that the balance was partly supported by supply reductions from some higher-cost producers.

EXHIBIT 24: Monthly lithium supply and demand. Global lithium market was largely balanced year to date

Source: SNE, SMM, Bloomberg, Company data, Bernstein analysis

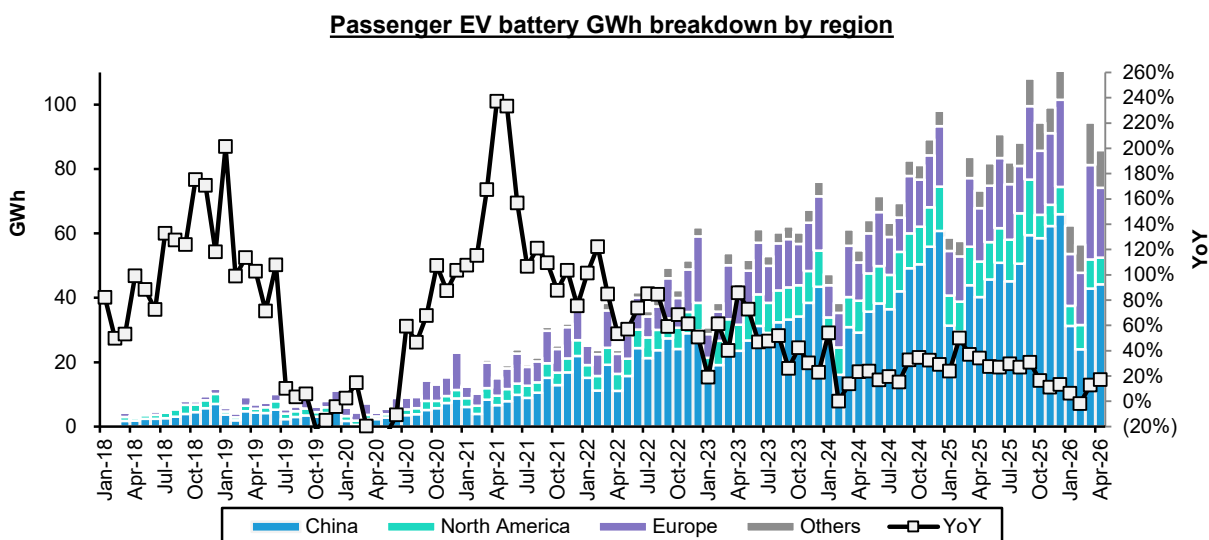
In percentage terms, lithium demand growth has outpaced supply growth year to date, with global demand rising 32% y-o-y compared to supply growth of 24%. The gap has been driven primarily by stronger-than-expected storage demand and a more subdued supply response, which together explain the improvement in price and sentiment so far this year.

EXHIBIT 25: Year to date, lithium demand is up around 32% versus supply growth of around 24%

Source: SNE, SMM, Bloomberg, Company data, Bernstein analysis

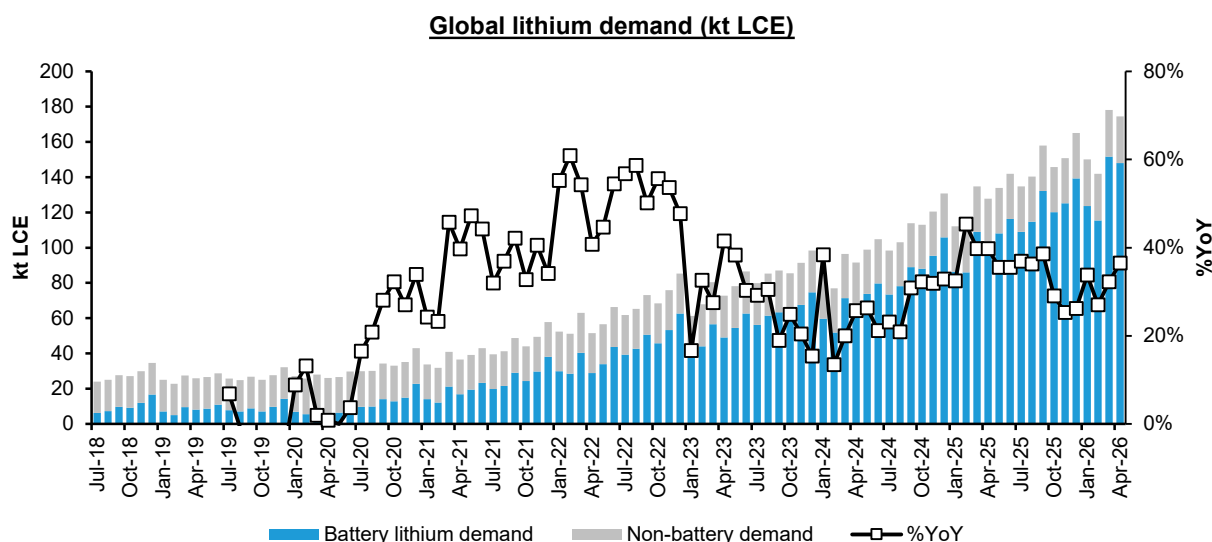
LITHIUM AND BATTERY DEMAND

Year to date, EV demand has grown by around 9%, which is softer than the growth rates seen previously but still positive. The much bigger surprise has been ESS demand, which is up around 100% year to date and has become the main engine of incremental battery demand.

EXHIBIT 26: YTD, EV demand is up around 9% year to date while ESS demand is up around 100%

Source: SNE, Bernstein analysis

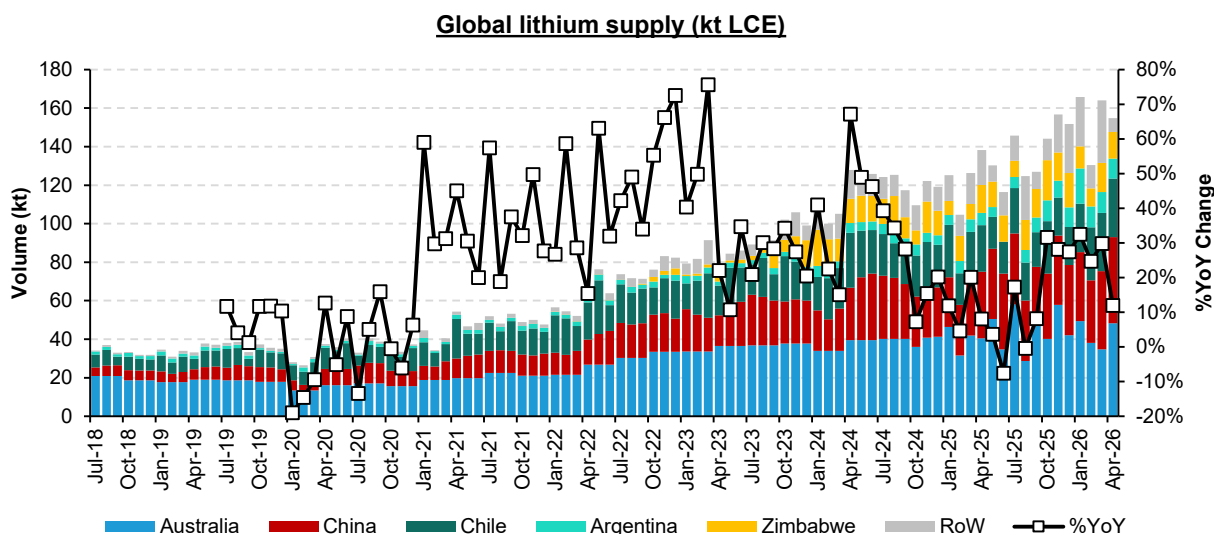
We estimate global lithium demand is up by around 32% year to date, with batteries still accounting for the vast majority of demand. Despite the slower pace of EV growth, lithium demand has been stronger than expected because storage is scaling more quickly as system costs fall and power demand continues to rise.

EXHIBIT 27: We estimate global lithium demand is up around 32% year to date, driven by stronger ESS demand

Source: SNE, Bernstein estimates and analysis

LITHIUM SUPPLY

Lithium supply has grown by around 24% year to date (12% in 2024) which is healthy but still below demand growth. Looking ahead, concerns persist regarding the ability of long-term lithium supply to keep pace with the rising demand driven by electric vehicles, energy storage, and other battery-powered technologies.

EXHIBIT 28: **Lithium supply is up around 24% year to date, still below demand growth**

Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

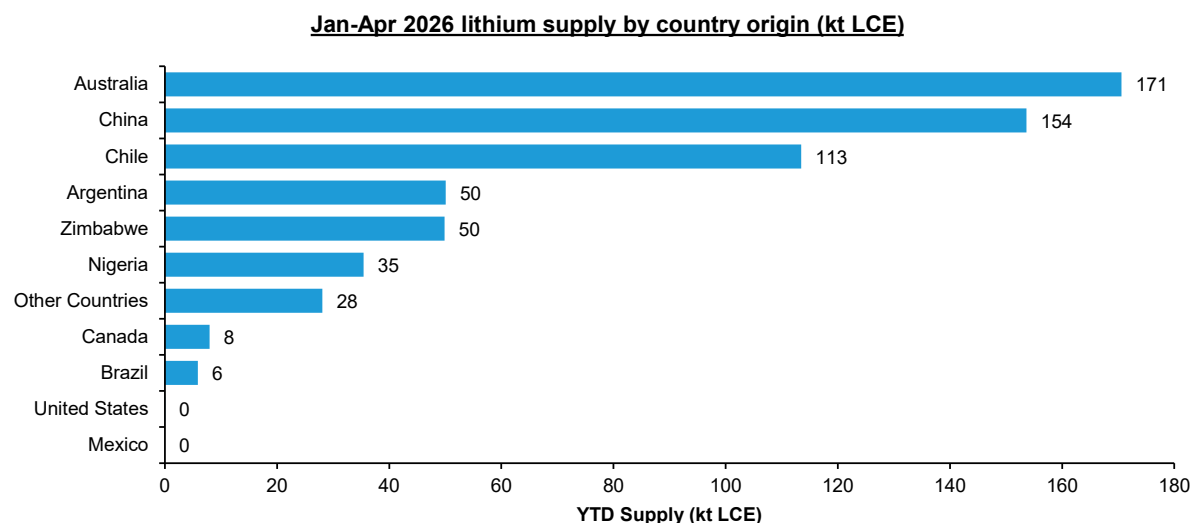
By country, supply growth this year has been led by China at around +30%, Chile at around +25%, and Argentina at around +106%. In contrast, Australia at around +6% and Zimbabwe at around +16% have lagged. This uneven supply profile partly explains why the market has tightened faster than expected. Combined, the top 3 countries account for 71% of global lithium supply.

EXHIBIT 29: **Lithium supply by countries**

							Jan-Apr		
	Units	2021	2022	2023	2024	2025	2026	Y-o-Y	% of total
Australia	kt, LCE	247	336	434	459	520	171	6%	28%
China	kt, LCE	126	191	258	325	398	154	30%	25%
Chile	kt, LCE	149	219	215	260	252	113	25%	18%
Zimbabwe	kt, LCE	0	8	53	164	162	50	16%	8%
Brazil	kt, LCE	15	18	32	44	45	6	-69%	1%
Argentina	kt, LCE	22	28	32	60	79	50	106%	8%
RoW	kt, LCE	10	23	55	102	135	71	81%	12%
Total supply	kt, LCE	569	824	1,081	1,414	1,591	615	24%	100%
Growth	kt, LCE	150	255	256	334	177			
Growth	%	36%	45%	31%	31%	12%			

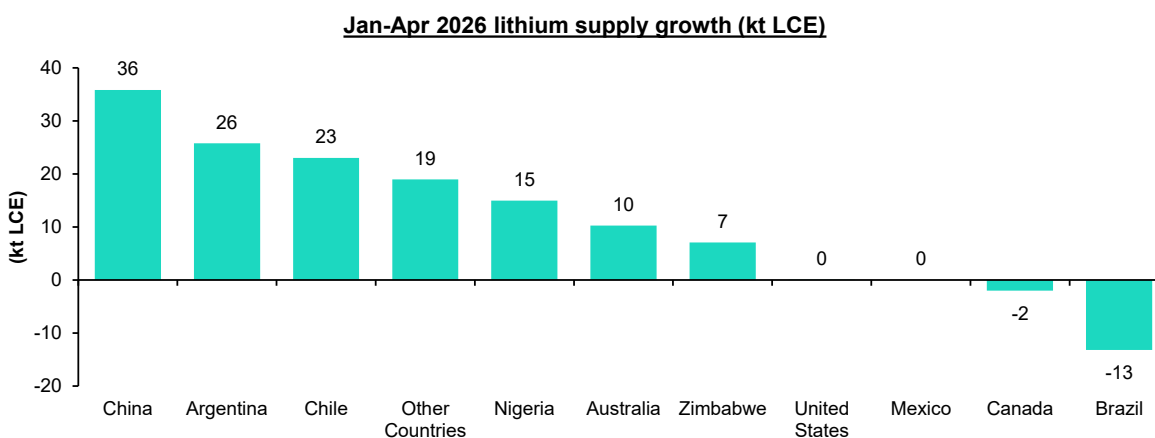
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

Lithium supply remains relatively concentrated in Australia, Chile and China, but the growth mix this year has been more skewed toward China and South America. Australia remains a critical source of hard-rock supply, while Chile and Argentina continue to matter for brine-led growth. Processing capacity also remains heavily concentrated in China, which keeps China central to price formation and inventory trends. While China processes 80% of global lithium supply, China has a more scattered distribution of lithium mining projects, where the production split between brine and minerals is 40/60. More recently, China has accelerated the mining of low quality lepidolite to increase supply. Argentina is an emerging producer in the Lithium Triangle.

EXHIBIT 30: **Current lithium supply is relatively concentrated in Australia, Chile and China**

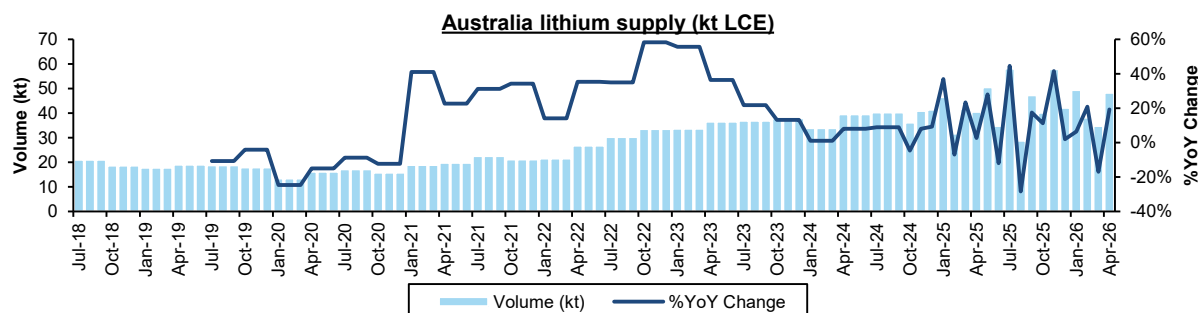
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

China, Chile and Argentina have stood out as the fastest-growing supply regions so far this year. Australia has grown more modestly while Zimbabwe has lagged the stronger growth rates seen in previous years. In our view, that mix matters because not all supply has the same flexibility or cost position, which can affect how readily the market responds to higher prices.

EXHIBIT 31: **China, Chile and Argentina have led supply growth this year, while Australia has lagged**

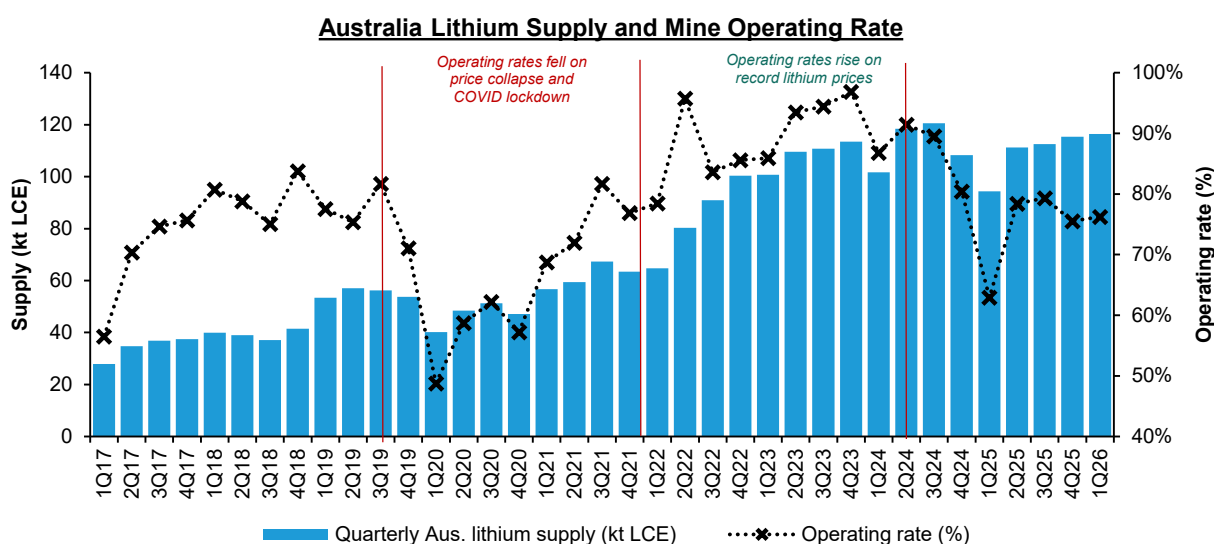
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

Australia is the world's largest producer of lithium, primarily extracted from spodumene ores. A significant portion of Australia's lithium concentrate are exported to China for further processing. Most of Australia's lithium production comes from mines in Western Australia. The Greenbushes Mine operated by Talison (Tianqi Lithium is a major shareholder) in Western Australia holds the world's largest hard-rock lithium mine. Other key projects include Wodgina, Marion, Pilgangoora, Mt Kathleen, and Mt. Cattlin.

EXHIBIT 32: Australia's lithium supply. Year-to-date growth is around 6%

Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

Australia remains the world's largest lithium supplier, but supply growth this year has been relatively modest at around 6%. Weak prices in the last cycle led to lower utilization and a more cautious operating stance among some producers. Australia will remain a key swing supplier, but its slower growth this year has been one factor contributing to tighter market conditions. Operating rates for Australian mines are at 70-80% which has fallen from 90% in 2023-24 due to weak lithium prices. In the last down cycle, utilization fell to a low of 50-60% for a period of time although this was partly driven by COVID restrictions. Nevertheless, higher costs suppliers need higher prices to balance the market.

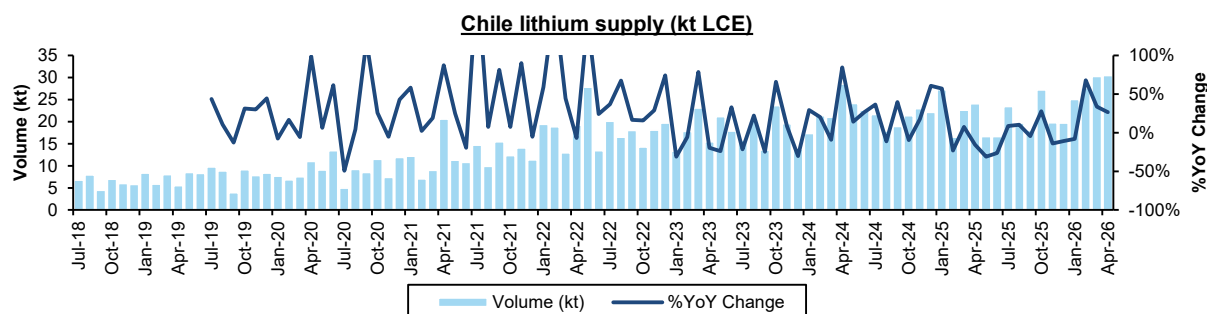
EXHIBIT 33: Operating rates for Australian mines are at 80% which has fallen from 90% in 2023-24 due to weak lithium prices

Source: Company data, Bernstein analysis

Chile possesses the world's largest lithium reserves, primarily found in brines beneath salt flats like the Atacama Salt Flat. These brines have high concentrations of lithium, making them economically attractive for extraction. Lithium extraction in Chile primarily involves pumping lithium-rich brines to the surface and allowing them to evaporate, concentrating the lithium. The Chilean government has a target to double lithium output over the next decade with six new brine developments announced. The main companies operating in Chile's lithium industry are Sociedad Química y Minera de Chile (SQM) and Albemarle. Lithium extraction from brines can have environmental consequences, including water depletion in arid regions and impacts on fragile ecosystems. Chile's regulatory framework for lithium extraction has evolved over time, with the state playing a significant role in overseeing and managing lithium resources. There are ongoing discussions and considerations regarding the rights and involvement of indigenous communities in lithium mining projects. While Chile's extraction has focused on evaporation methods, the use of new DLE technologies is a core part of future development to reduce the country's use of water-wasting evaporation

ponds to produce lithium metal.

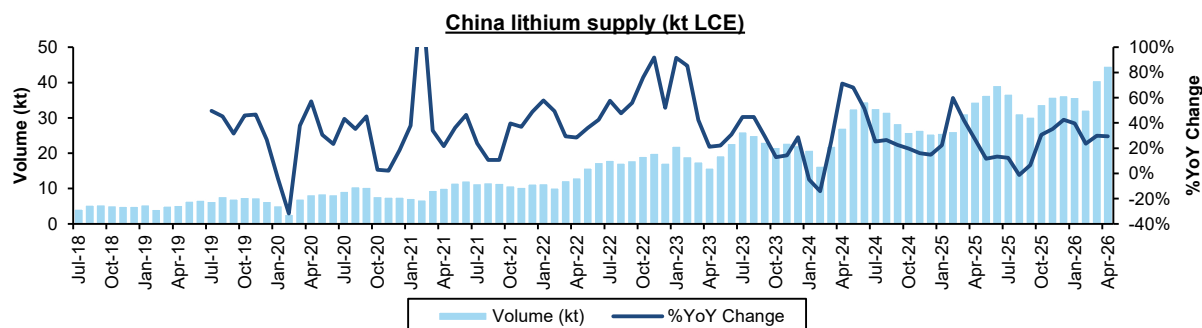
EXHIBIT 34: Chile's lithium supply. Year-to-date growth is around 25%



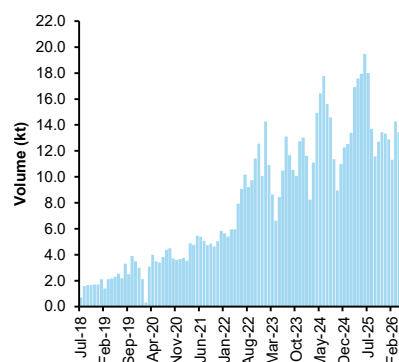
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

China holds a dominant position in the global lithium market. At the start of 2025, China's Ministry of Natural Resources announced that the measured and indicated reserves for the country rose from 6% to 16.5% of global resources. This leap positions China as the second-largest holder of lithium resources worldwide, only after Chile. The breakthrough resulted from significant discoveries along a 2,800km West Kunlun-Songpan-Ganzi lithium belt in the country's west. The lithium belt alone has cumulative proven reserves of more than 6.5m tons, with resource potential exceeding 30m tons. Extracting lithium from salt lake brine, known for its low cost and reduced environmental impact, resulted in substantial lithium resource growth in the Qinghai-Tibet Plateau. The development positions China as the world's third-largest salt lake lithium resource hub, following the lithium triangle in South America and the US western region. If the potential discovery of massive reserves in China is confirmed, it could significantly alter the global lithium landscape becoming more self-sufficient. However, extracting lithium in environmentally sensitive region and at competitive costs remains a key question.

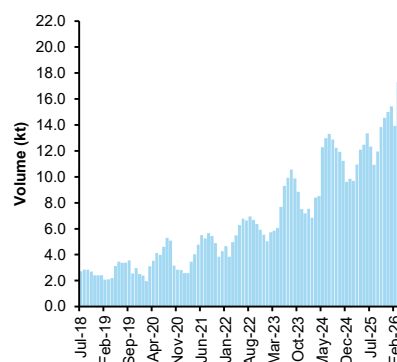
EXHIBIT 35: China's lithium supply. Year-to-date growth is around 30%



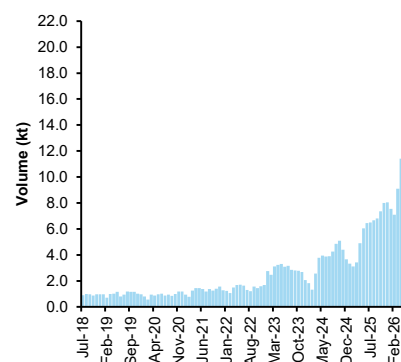
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

EXHIBIT 36: China's lepidolite production (kt LCE)

Source: SMM, Bernstein analysis

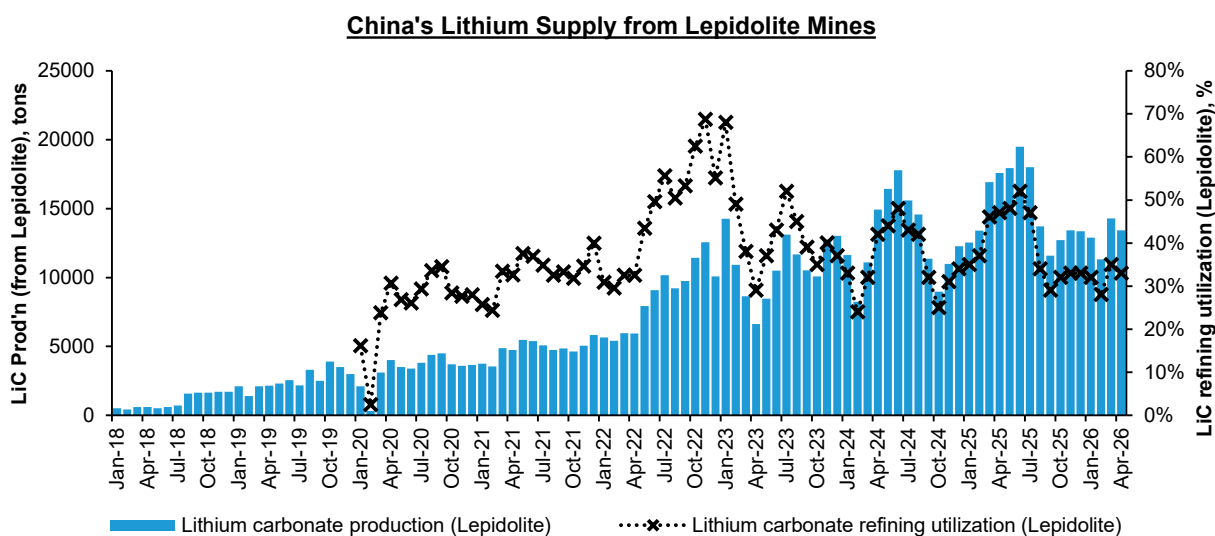
EXHIBIT 37: China's brine production (kt LCE)

Source: SMM, Bernstein analysis

EXHIBIT 38: China's spodumene production (kt LCE)

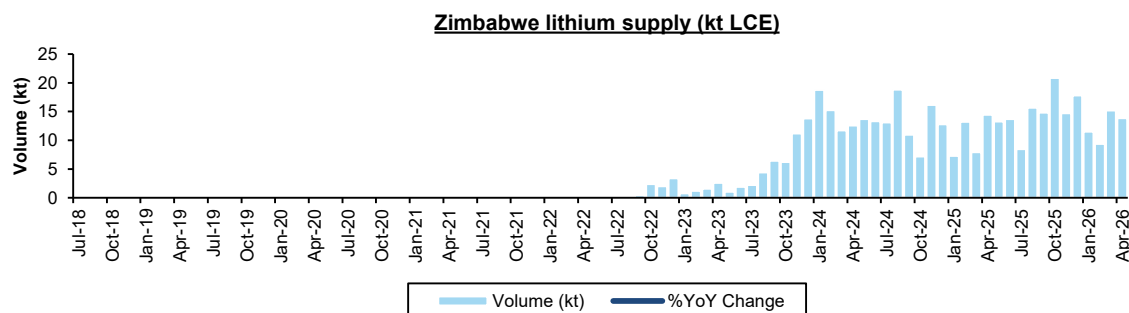
Source: SMM, Bernstein analysis

China's lepidolite mines are also some of the highest costs producers in the world with cash costs of around \$14,000/t and even higher for lower quality mines. Higher prices will support production and restart activity, but the broader point is that these volumes help tighten the floor under prices because a meaningful portion of global supply still needs stronger pricing to earn acceptable returns.

EXHIBIT 39: China's lepidolite production have not increased despite higher lithium prices

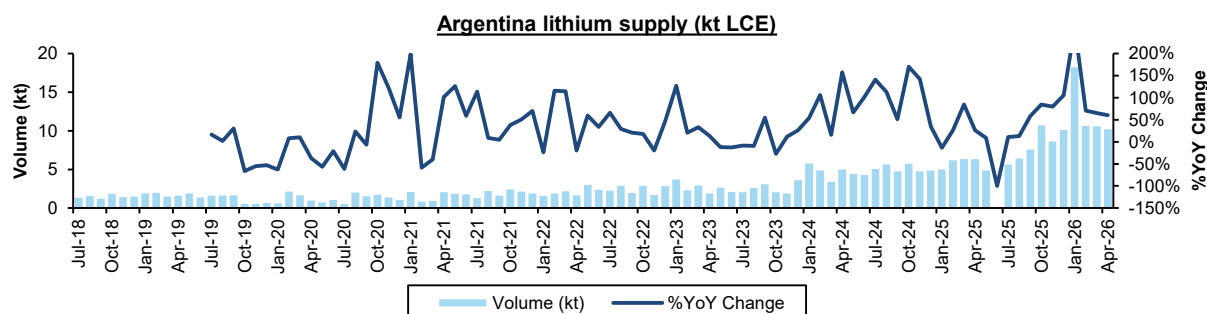
Source: SMM, Bernstein analysis

Zimbabwe holds Africa's largest lithium reserves and has experienced rapid growth in recent years with Chinese companies investing heavily in the country's lithium sector. Key projects include Arcadia Mine (owned by Huayou Cobalt), Bikita Minerals (owned by China's Sinomine), and Sabi Star (owned by Chengxin Lithium) which all started up in the last few years. The Zimbabwean government aims to move beyond exporting raw lithium but into local processing and refining to maximize economic benefits for the country. On the other hand, key challenges in developing lithium resources in the country include ongoing corruption, lack of skilled workers, poor infrastructure to connect to port. Nevertheless, the projects highlight the scale of lithium development in Zimbabwe and the significant role of Chinese investment.

EXHIBIT 40: Zimbabwe's lithium supply. Year-to-date growth is around 16%

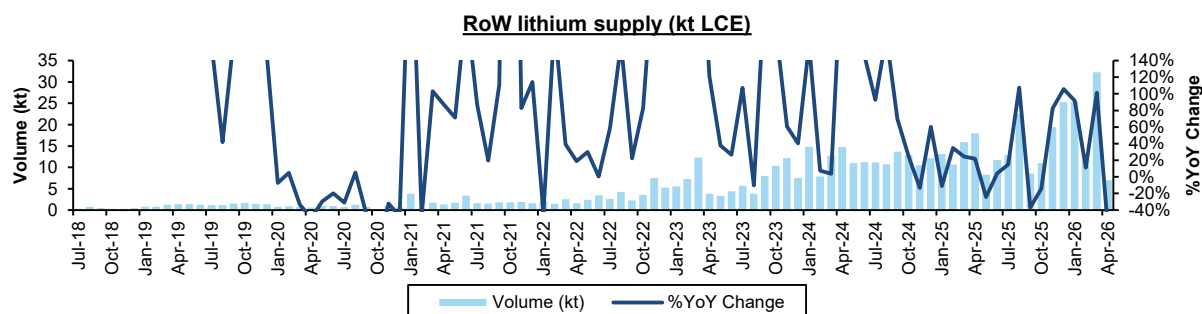
Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

Argentina has a large share of the Lithium Triangle's resources, making it a key player in the region. Lithium production in Argentina primarily comes from brines in the northern provinces (Catamarca, Salta, and Jujuy). The Argentine government targets to be the third largest global producer by the end of the decade and is actively encouraging foreign investment in its lithium sector. Major players in the region include Rio Tinto, Albemarle, Ganfeng, Eramet, and Posco.

EXHIBIT 41: Argentina's lithium supply. Year-to-date growth is around 106%

Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

In the rest of the world, Brazil has seen a significant increase in lithium production in recent years found in hard-rock deposits. Canada is also an emerging player in the lithium sector and its proximity to the US is a key strategic advantage. Portugal is one of the few European countries with significant lithium resources found in hard rock and has a strong emphasis on sustainable mining practices. As the third country within the Lithium Triangle, Bolivia has one of the world's largest lithium resources, but development has been slower compared to its neighbors.

EXHIBIT 42: RoW lithium supply. year to date, supply grew by 36% y-o-y

Source: Bloomberg, SMM, Government data, Company data, Bernstein analysis

SUPPLY AND DEMAND OUTLOOK

LITHIUM DEMAND

We estimate battery demand to grow from 1,770GWh in 2025 to 5,307GWh by 2030, representing growth of 25% CAGR. We expect global Li-ion battery demand to grow faster than xEV growth because of rapid development of ESS and truck battery demand. For 2026, we expect battery demand to grow by 40% with ESS demand growth of 86% y-o-y. With more renewables to connected to the grid and rising power demand from electrification, we believe the ESS battery demand will only increase.

EXHIBIT 43: Large LiB battery demand is expected to grow at 25% CAGR out to 2030

													25-30 CAGR
	Units	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	
Large battery													
PV	GWh	125	273	462	660	821	1,029	1,178	1,383	1,604	1,947	2,365	18%
Bus & Truck	GWh	18	24	39	36	68	148	246	384	507	640	717	37%
ESS	GWh	21	44	121	185	301	550	1,023	1,523	1,737	1,943	2,109	31%
Micro-mobility	GWh	5	8	14	24	34	43	54	66	82	99	115	22%
Total Large Battery	GWh	169	349	636	905	1,224	1,770	2,502	3,357	3,930	4,629	5,307	25%
y-o-y													
PV	%	34%	118%	69%	43%	24%	25%	12%	19%	15%	22%	23%	
Bus & Truck	%	-14%	31%	62%	-7%	90%	116%	67%	56%	32%	26%	12%	
ESS	%	73%	114%	175%	53%	63%	83%	86%	49%	14%	12%	9%	
Micro-mobility	%	-17%	47%	82%	71%	42%	27%	26%	22%	23%	21%	17%	
Total Large Battery	%	27%	106%	82%	42%	35%	45%	40%	35%	17%	18%	15%	

Source: SNE, IHS, Bernstein estimates and analysis

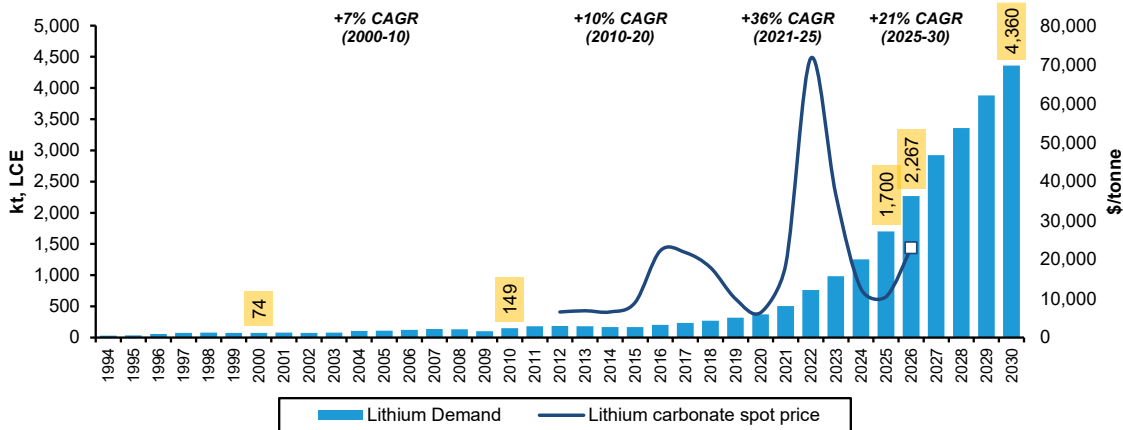
Based on our demand analysis, total lithium demand will grow by 33% in 2026 to reach 2.3MT of LCE. Total demand for lithium is expected to grow from to 4.4MT by 2030 representing growth of 21% CAGR.

EXHIBIT 44: Lithium demand outlook

													25-30 CAGR
	Units	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	
Total Large Battery	GWh	169	349	636	905	1,224	1,770	2,502	3,357	3,930	4,629	5,307	25%
Battery lithium demand	kt, Li	25	50	93	132	180	262	367	489	569	666	754	24%
LCE demand (5.31x Li demand)	kt, LCE	130	267	492	700	953	1,391	1,949	2,597	3,023	3,535	4,002	24%
Non-battery demand	kt, LCE	243	236	272	285	299	308	318	327	337	347	357	3%
Total demand	kt, LCE	373	503	763	986	1,253	1,700	2,267	2,925	3,360	3,882	4,360	21%
Growth	kt, LCE	55	130	260	223	267	447	567	658	436	522	477	
Growth	%	17%	35%	52%	29%	27%	36%	33%	29%	15%	16%	12%	

Source: SNE, IHS, SMM, Bernstein estimates and analysis

EXHIBIT 45: We expect demand growth for lithium to be 33% this year, taking total demand to 2.3MT of LCE. By 2030, we expect demand to reach 4.4MT by 2030 (+21% CAGR)

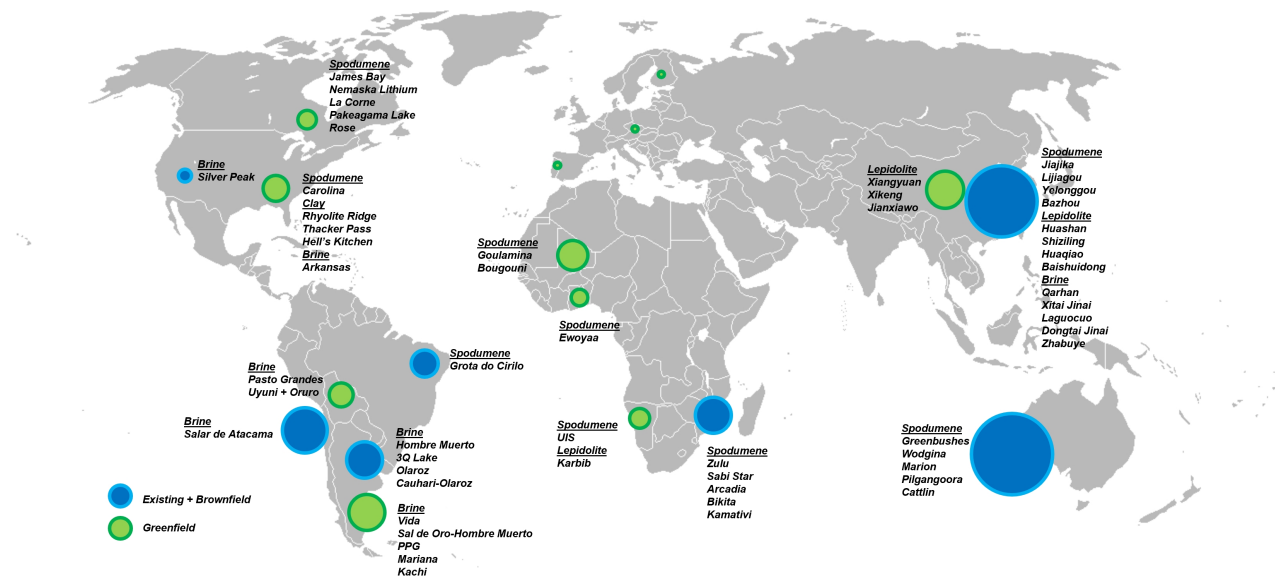


Source: Bloomberg, SNE, SMM, Bernstein estimates and analysis

LITHIUM SUPPLY

The global lithium resource supply system is largely divided into two extraction methods: lithium extraction from ore and lithium extraction from salt lakes. Lithium extraction from hard rocks has increased faster than brine due to its mature and easy to scale industrial processes. Hard rock lithium deposits are found in several locations with most located in Australia, Canada, US, Brazil and Africa. Although lithium extraction from brine is lower costs, limited availability of high-quality brines and requirement of constant dry weather conditions are disadvantages. Lithium brine deposits are primarily found in the Lithium Triangle (Bolivia, Chile and Argentina), US and China (Tibet and Qinghai).

EXHIBIT 46: Global lithium projects by region

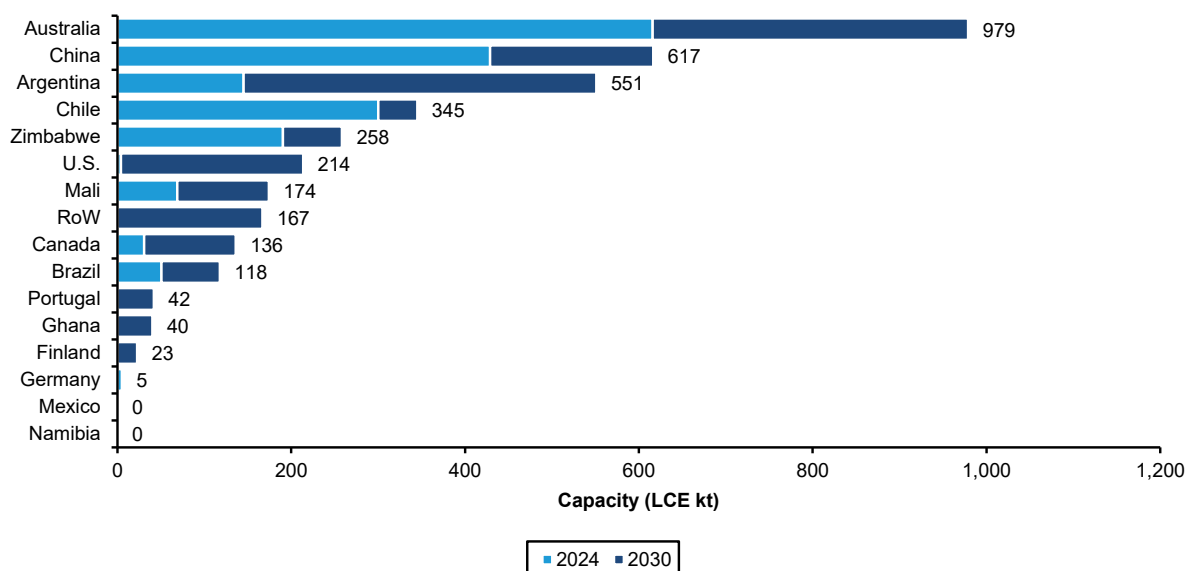


Source: Company data, Bernstein estimates and analysis

Our long term capacity outlook by country is shown below. We expect China and Australia will remain the largest suppliers, while many countries including Argentina, US, Canada, Brazil, Zimbabwe, and Mali are expanding rapidly. Australia is likely to remain a leading supplier given well-established mining operations, supportive government policies, and strong infrastructure in place. While sources of lithium supply are diversifying to reduce geopolitical risks and ensure stable supply, processing capacity

remains highly concentrated within China.

EXHIBIT 47: 2024 and 2030 lithium capacity. We expect China and Australia will remain the largest suppliers, while many countries including Argentina, US, Canada, Brazil, Zimbabwe, and Mali are expanding rapidly



Source: Company data, Bernstein estimates and analysis

Taking a closer look at supply start-ups over the coming quarters, there is still a pipeline of projects that can add supply in 2026, alongside the return of around 200kt LCE of curtailed production. However, beyond the near-term ramp-ups the pace of new project additions still slows materially, which is why we think the market can tighten further in 2027.

Goulamina: Goulamina is one of the biggest lithium developments globally and started production of spodumene at the end of 2024. Stage 1 spodumene concentrate production is estimated at 506ktpa, increasing to a peak of 1MTPA in Stage 2. Ganfeng is the operator of the project after purchasing 40% stake on the project in May 2024. The Mali government has as 35% interests in the project with option to purchase additional 20% within first two years of operation.

Cuenca Centenario: Started production at the end of 2024. Operated by Eramet, the Centenario Phase 1 plant uses one of the most advanced DLE technology. Ramp-up is expected to be achieved by mid-2025. At full capacity, the Centenario Phase 1 plant will produce 24ktpa of battery-grade lithium carbonate. At full capacity, the cash cost for Phase 1 should be positioned in the first quartile of the industry cost curve (estimated at around \$4,500 to \$5,000/t-LCE). The drainable mineral resources amount to more than 15 Mt LCE, with an average concentration of 407 mg/L of lithium contained in the brine, supporting further capacity expansion.

Kathleen Valley: Lontown has commenced the production ramp-up of Kathleen Valley in 3Q24. In June 2022, the board of Lontown made the FID for the development of Kathleen Valley, clearing the way for the commencement of Project execution. The first spodumene concentrate has been produced following the progressive commissioning of the processing plant in July. Company targets a nameplate ore processing capacity of 3MTPA. The lithium producer said the concentrate produced thus far has a weighted average grade of 5.2% Li₂O. Lontown has already committed 90% of its spodumene production for the first five years through offtakes with Tesla, LG Energy Solution and Ford.

Sal de Oro – Hombre Muerto: POSCO Argentina's project is divided into two phases. Phase 1 is located in the province of Salta and is close to producing lithium hydroxide. The first phase is for 25ktpa which completed test run in July 2024 and will be in full operation in mid-2025. Stage 2 is developed in the cooperation zone between Catamarca and Salta and focuses on the production of lithium carbonate.

Bougouni: KoThe Bougouni lithium project in southern Mali, operated by Kodal Minerals, is nearing completion and has achieved its first spodumene concentrate production in February 2025. Bougouni's stage one is to produce 125ktpa of spodumene from the Ngoulana pit. Stage two would produce 230ktpa from the Boumou and Sogola Baoulé deposits after

\$175 million in capital spending funded with stage-one cash flow.

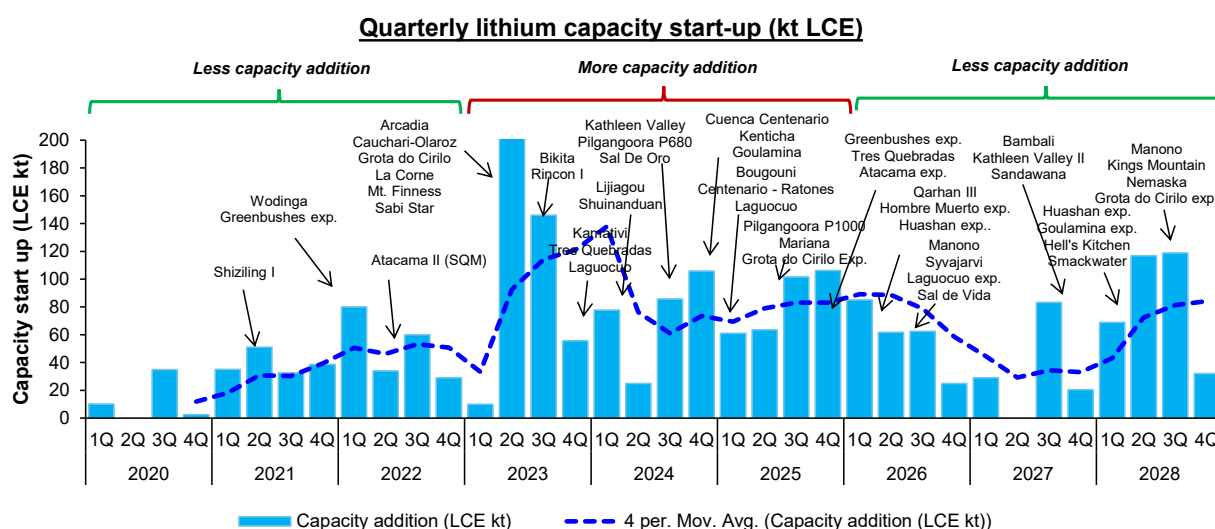
Mt Holland: Covalent Lithium, a 50:50 joint venture partnership between Wesfarmers Limited and Sociedad Química y Minera de Chile's (SQM), has officially recognised the successful construction and commissioning of the Mt Holland lithium mine and concentrator in March 2024. Once construction of the Covalent refinery in Kwinana is complete and commissioned, Covalent Lithium will be a fully-integrated producer and supplier of premium, battery-grade lithium hydroxide for the global electric vehicle market. The project is expected to produce over 380,000 tonnes per year of spodumene concentrate.

Sal de Vida: In 2022, Arcadium Lithium commenced development of the 15,000 tonne per annum Sal de Vida Stage 1 project. The Sal de Vida deposit lies within the "lithium triangle", an area encompassing Chile, Bolivia and Argentina that contains a significant portion of the world's estimated lithium resources. The project is currently 66% complete with target for commercial completion in 2H26. The Project aims to produce 45,000 tpa in total from the planned staged expansions.

Mariana: The Mariana project is located in the Salar de Llullaillaco, in the province of Salta, Argentina. As disclosed recently in its 2023 Annual Report, Ganfeng Lithium said its Argentine Mariana lithium project produced the first batch of products at the end of 2024. Mariana is a lithium-potassium salt lake located in the Salar de Llullaillaco in Salta Province, and is run by Ganfeng's 100% owned subsidiary Litio Minera Argentina, carrying an investment of around US\$600 million to produce 20,000 tonnes of lithium chloride or around 17,300 tonnes of lithium carbonate equivalent per year.

PPG: The PPG project consists of two lithium salt lake blocks, Pozuelos and Pastos Grands, with a total resource amounting to approximately 11.06 million tons of lithium carbonate equivalent (currently planning for a new round of resource survey). The project is located in the western part of Salta Province, at the center of multiple salt lake projects, possessing geographical conditions suitable for integrating surrounding salt lake projects into a large-scale mining operation. Currently, the planned annual production capacity of the PPG project is 50,000 tons of lithium carbonate, with salt field construction scheduled to commence at the end of 2023 and production expected to start in 2026.

EXHIBIT 48: Beyond the near-term project ramp-ups and restarts, the pace of capacity additions still decelerates materially



Source: Company data, Bernstein estimates (2025+) and analysis

Below we show our expected lithium capacity expansion out to 2030. Total lithium capacity is expected to increase from 2,172kt LCE in YE2025 to 2,406kt LCE by YE2026, representing an increase of 234kt LCE (vs. 567 kt LCE demand growth). China and Argentina are responsible for the largest capacity growth in 2026.

EXHIBIT 49: Lithium projects by start-up year (2022-26)

Project	Operator	Type	Country	LCE Capacity, kt
Base (as of 2022YE)				1,061
Bazhou I	Xinjiang Zhicun New Materials	Spodumene	China	60
Atacama III (SQM)	SQM	Brine	Chile	60
Arcadia	Huayou Cobalt	Spodumene	Zimbabwe	54
Cauchari-Olaroz I-I	Ganfeng	Brine	Argentina	40
Grota do Cirilo I	Sigma Lithium	Spodumene	Brazil	37
Wodgina III	Mineral Resources	Spodumene	Australia	34
La Corne	Elevra Lithium	Spodumene	Canada	31
Bikita III	Sinomine	Spodumene	Zimbabwe	27
Sabi Star	Chengxin Lithium	Spodumene	Zimbabwe	27
Xitai II	CITIC Guoan	Brine (DLE)	China	25
Tres Quebradas (3Q) I	Zijin Mining	Brine (DLE)	Argentina	20
Finniss	Yahua	Spodumene	Australia	16
Marion II	Mineral Resources	Spodumene	Australia	15
Baishuidong	Gotion	Lepidolite	China	12
Bikita II	Sinomine	Spodumene	Zimbabwe	11
Dongtai II (Dongtai)	Dongtai Jinai	Brine	China	10
Zhabuye II	Tibet Mineral	Brine	China	8
Kamativi I	Yahua	Spodumene	Zimbabwe	7
Zulu	Premier African Minerals	Spodumene	Zimbabwe	7
Rincon I	Rio Tinto	Brine	Argentina	3
2023				504
Goulamina	Ganfeng	Spodumene	Mali	69
Kathleen Valley I	Liontown	Spodumene	Australia	48
Kamativi II	Yahua	Spodumene	Zimbabwe	41
Olaroz II (ALL)	Rio Tinto	Brine	Argentina	25
Sal de Oro-Hombre Muerto I	Posco	Brine (DLE)	Argentina	25
Lijagou (阿坝李家沟)	Sichuan Energy	Spodumene	China	24
Bald Hill	Mineral Resources	Spodumene	Australia	21
Shuinanduan Mine I	Gotion	Lepidolite	China	16
Pilgangoora I-II	Pilbara	Spodumene	Australia	14
Hombre Muerto II-IA	Rio Tinto	Brine (DLE)	Argentina	12
2024				294
Greenbushes III (CGP3)	Talison Lithium	Spodumene	Australia	71
Holland (Covalent)	Wesfarmers	Spodumene	Australia	52
Pilgangoora III	Pilbara	Spodumene	Australia	44
Grota do Cirilo II	Sigma Lithium	Spodumene	Brazil	36
Xiangyuan II	Zijin Mining	Lepidolite	China	30
Cuenca Centenario - Ratones	Eramet	Brine (DLE)	Argentina	24
Tres Quebradas (3Q) I	Zijin Mining	Brine (DLE)	Argentina	20
Mariana	Ganfeng	Brine	Argentina	20
Laguocuo I	Zijin Mining	Brine	China	20
Bougouni Stage I	Kodal Minerals	Spodumene	Mali	17
2025				333
Manono	Zijin Mining	Spodumene	Congo	62
Blue Science Lithium	Qinghai Salt Lake	Brine (DLE)	China	40
Laguocuo II	Zijin Mining	Brine	China	40
Sal de Oro-Hombre Muerto II	Posco	Brine (DLE)	Argentina	25
Syvajarvi Mine (Keliber)	Sibanye-Stillwater	Spodumene	Finland	23
Atacama IV (SQM)	SQM	Brine	Chile	20
Vida I	Rio Tinto	Brine	Argentina	15
Hombre Muerto II-IB	Rio Tinto	Brine (DLE)	Argentina	10
2026				234

Source: Companies, USGS, Bernstein estimates and analysis

EXHIBIT 50: Lithium projects by start-up year (2027+)

Project	Operator	Type	Country	LCE Capacity, kt
Sandawana	Kuvimba Mining	Spodumene	Zimbabwe	68
Bambali	Ganfeng	Spodumene	Sierra Leone	43
Tres Quebradas (3Q) II	Zijin Mining	Brine (DLE)	Argentina	40
Huashan III	Yongxing Materials	Lepidolite	China	29
Kathleen Valley II	Liontown	Spodumene	Australia	20
Smackwater (ExxonMobil)	ExxonMobil	Brine (DLE)	U.S.	10
2027				211
Goulamina II	Ganfeng	Spodumene	Mali	88
Greenbushes IV	Talison Lithium	Spodumene	Australia	68
Manono II	Zijin Mining	Spodumene	Congo	62
Holland (Covalent) Expansion	Wesfarmers	Spodumene	Australia	52
PPG-I	Ganfeng	Brine	Argentina	50
PPG-II	Ganfeng	Brine	Argentina	50
Kings Mountain	Albemarle	Spodumene	U.S.	48
Cauchari-Olaroz II	Ganfeng	Brine	Argentina	45
James Bay (Galaxy)	Rio Tinto	Spodumene	Canada	42
Thacker Pass I	Lithium Americas	Clay	U.S.	40
Ewoyaa	Atlantic Lithium	Spodumene	Ghana	40
Grota do Cirilo III	Sigma Lithium	Spodumene	Brazil	32
Nemaska Lithium	Rio Tinto	Spodumene	Canada	32
Rose	Critical Elements	Spodumene	Canada	31
Marion III	Mineral Resources	Spodumene	Australia	30
Huashan III-2	Yongxing Materials	Lepidolite	China	29
Rincon II-I	Rio Tinto	Brine	Argentina	29
Rincon II-II	Rio Tinto	Brine	Argentina	29
Kathleen Valley III	Liontown	Spodumene	Australia	27
Atacama Yield Improvement	Albemarle	Brine	Chile	25
Hell's Kitchen	Thermal Resources	Geothermal brine	U.S.	25
Olaroz (Cauchari) Expansion	Rio Tinto	Brine	Argentina	25
Kachi I	Lake Resources	Brine (DLE)	Argentina	25
Mina do Barroso	Savannah Resources	Spodumene	Portugal	24
Rhyolite Ridge I	ioneer	Clay	U.S.	22
Carolina	Elevra Lithium	Spodumene	U.S.	22
Smackwater (Standard Lithium)	Standard Lithium	Brine (DLE)	U.S.	20
Thacker Pass II	Lithium Americas	Clay	U.S.	20
Romano	Lusorecursos	Spodumene	Portugal	18
Silver Peak II	Albemarle	Brine	U.S.	3
2028-2030				1,052
Bazhou II	Xinjiang Zhicun New Materials	Spodumene	China	60
Jianxiawo	CATL	Lepidolite	China	50
Pakeagama	Frontier	Spodumene	Canada	36
Jiajika II	Rongjie (Youngy)	Spodumene	China	36
UIS II	Andrada	Spodumene	Namibia	35
Qarhan I (BYD)	BYD	Brine	China	30
Vida II & III	Rio Tinto	Brine	Argentina	30
Hombre Muerto II-II	Rio Tinto	Brine (DLE)	Argentina	30
Uyuni & Oruro (CATL) I	CATL	Brine	Bolivia	25
Kachi II	Lake Resources	Brine (DLE)	Argentina	25
Uyuni & Oruro (CATL) II	CATL	Brine	Bolivia	25
Upper Rhine Valley	Vulcan Energy	Brine (DLE)	Germany	24
San Jose	Infinity	Lepidolite	Spain	23
Pasto Grandes (Rosatom) II	Lithium Argentina	Brine	Argentina	23
Pasto Grandes (Rosatom) I	Lithium Argentina	Brine	Argentina	23
Cinovec	European Metals	Lepidolite	Czech	21
Maricunga I	Codelco	Brine	Chile	20
Karibib I	Lepidico	Lepidolite	Namibia	19
Sonora I	Ganfeng	Clay	Mexico	18
Sonora II	Ganfeng	Clay	Mexico	18
Zinnwald	Zinnwald	Zinnwaldite	Germany	17
Authier	Elevra Lithium	Spodumene	Canada	16
Wolfsberg	European Lithium	Spodumene	Austria	15
UIS I	Andrada	Spodumene	Namibia	15
Paradox	Anson Resources	Brine (DLE)	U.S.	13
Rhyolite Ridge II	ioneer	Clay	U.S.	12
Mt Manono	AVZ	Spodumene	DRC	10
Xikeng I	JSEM	Lepidolite	China	10
Xikeng II	JSEM	Lepidolite	China	10
Karibib	Lepidico	Lepidolite	Namibia	6
Mibra II	AMG Lithium	Spodumene	Brazil	5
Kenticha I	Abyssinian	Spodumene	Ethiopia	4
Long-term				702

Source: Companies, USGS, Bernstein estimates and analysis

SUPPLY AND DEMAND

While 2025 was a challenging year for lithium producers, the setup for 2026 and 2027 looks constructive as market tightens. We estimate lithium demand to increase by 33% y-o-y rising from 1.7MTPA in 2025 to 2.3MTPA in 2026. Based on current planned capacity, average production capacity is expected to increase from 1.9MTPA in 2025 to 2.2MTPA in 2026 which is an increase of 16%. This implies that demand as a percent of average production capacity to increase from 88% to 102% implying further market tightening.

In the long run, we expect lithium demand to more than double from 1.7MTPA in 2025 to 4.4MTPA by 2030. To reach expected demand by 2030, lithium production capacity will need to rise to 5.2MTPA (assuming 85% utilization level). Based on cumulative capacity announcements, total capacity could increase from 3.7MT in 2030. This implies a further 1.5MTPA of capacity additions from current planned levels through to 2030.

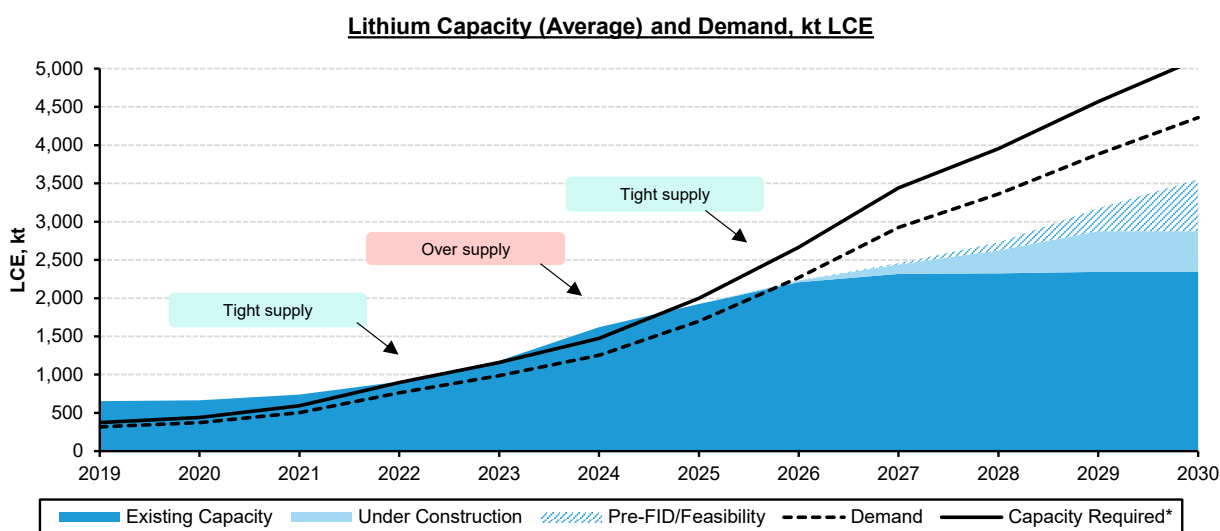
EXHIBIT 51: Long term lithium production capacity and demand outlook. We expect the lithium market will further tighten in 2027

Lithium S/D	Units	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Demand	kt, LCE	373	503	763	986	1,253	1,700	2,267	2,925	3,360	3,882	4,360
Growth	kt, LCE	55	130	260	223	267	447	567	658	436	522	477
Growth	%	17%	35%	52%	29%	27%	36%	33%	29%	15%	16%	12%
Required Capacity	kt LCE	439	592	898	1,160	1,474	2,000	2,666	3,441	3,953	4,567	5,129
Capacity (Year end)	kt, LCE	701	858	1,061	1,545	1,839	2,172	2,406	2,617	3,058	3,515	3,668
Capacity (Average)	kt, LCE	665	740	909	1,182	1,618	1,922	2,230	2,459	2,727	3,173	3,554
Growth	kt, LCE	62	75	169	273	436	304	308	228	268	446	381
Growth	%	10%	11%	23%	30%	37%	19%	16%	10%	11%	16%	12%
Demand % of Ave. Capacity	%	56%	68%	84%	83%	77%	88%	102%	119%	123%	122%	123%

Source: Company data, SNE, Bloomberg, Bernstein estimates (2026+) and analysis

We believe a supply deficit is emerging. We estimate average capacity for existing operation and projects under construction will rise to 2.2MTPA of LCE by 2026. Required capacity is 2.7MTPA (based on demand of 2.3MTPA) which may be just enough to meet demand. Given it takes an average three years to develop a project from FID to production, we see the risks of further lithium undersupply in 2027 with demand exceeding planned capacity.

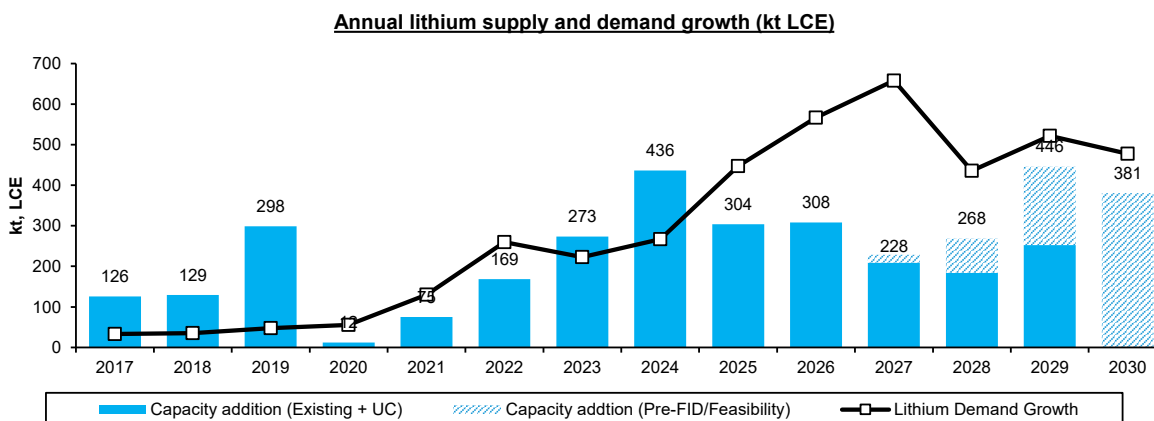
EXHIBIT 52: Supply is tightening faster than market expectations, with 2027 looking even tighter



Source: Company data, SNE, Bloomberg, Bernstein estimates (2025+) and analysis

We believe the lithium prices will continue to rise over the remainder of the year and into 2027 as major capacity expansion slows through the year. In 2024 and 2025, we estimate an average c.370ktpa LCE per year of new capacity came online annually versus demand growth of 360ktpa which was balanced. In 2026, we estimate only around 300ktpa of capacity growth which is not enough to keep up with demand growth of 560ktpa. As such, markets is expected to tighten and spot lithium prices will trade above marginal costs to incentivize investments.

EXHIBIT 53: We expect lithium demand growth to outpace supply growth in 2026 and again in 2027

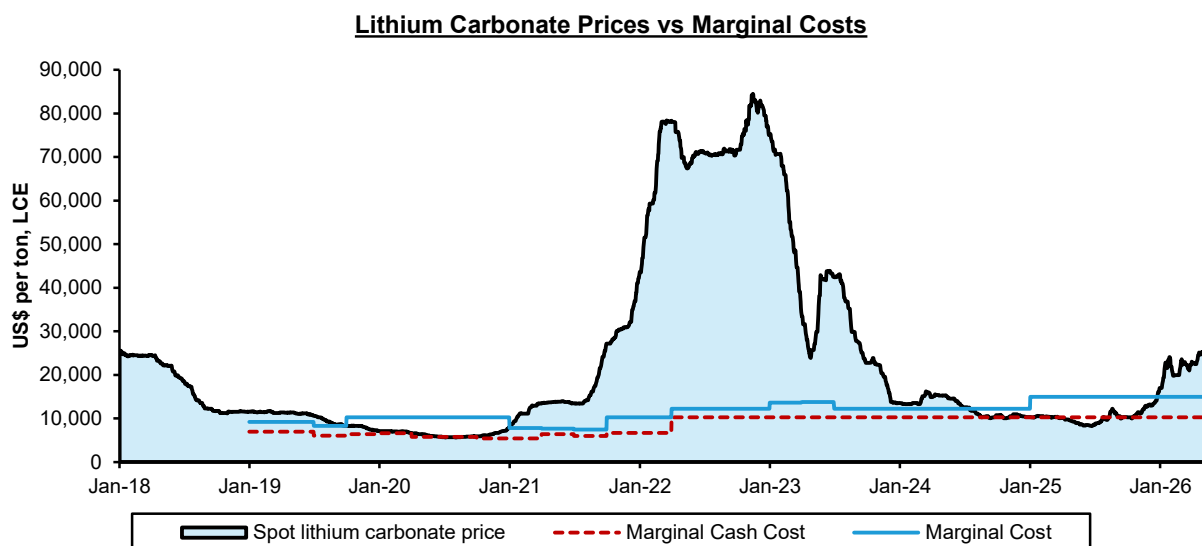


Source: Company data, SNE, Bernstein estimates (2025+) and analysis

LITHIUM PRICING

Lithium carbonate prices have already rebounded sharply from their mid-2025 trough and are now around \$20-25k/t. The recovery has been driven by tighter market conditions, falling inventory and stronger battery demand, especially from ESS. In contrast to our prior note, prices are no longer simply recovering from the bottom, but are already at levels that justify partial restarts while still leaving room for further upside if the market tightens again in 2027.

EXHIBIT 54: Lithium prices have doubled from the trough to around \$20-25k/t, with further upside possible if inventories stay tight

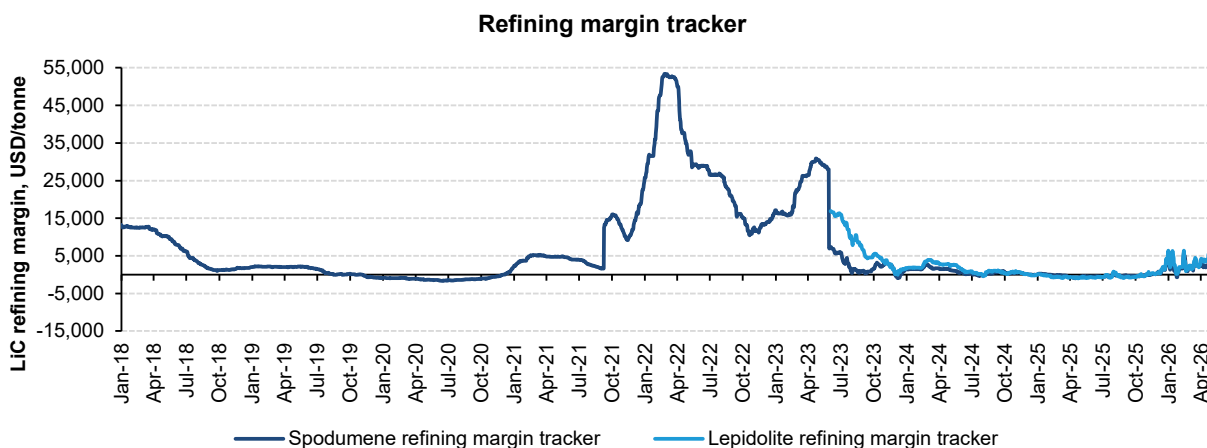


Source: Company data, Bloomberg, Bernstein estimates and analysis

China holds a significant lead in lithium refining capacity with more than 70% of global refining capacity. Lithium refining takes raw lithium minerals such as lithium ore or brine and processes them into high-purity forms such as lithium carbonate or lithium

hydroxide suitable for battery manufacturing. Spodumene is traditionally shipped to China for processing, which has world-class refining technology to produce lithium salts. Lithium refining margins are driven by fluctuations in supply and demand balance. While refining margins vary by company depending on refining process and costs, we estimate the average margin is near zero driven by oversupply and high inventory levels.

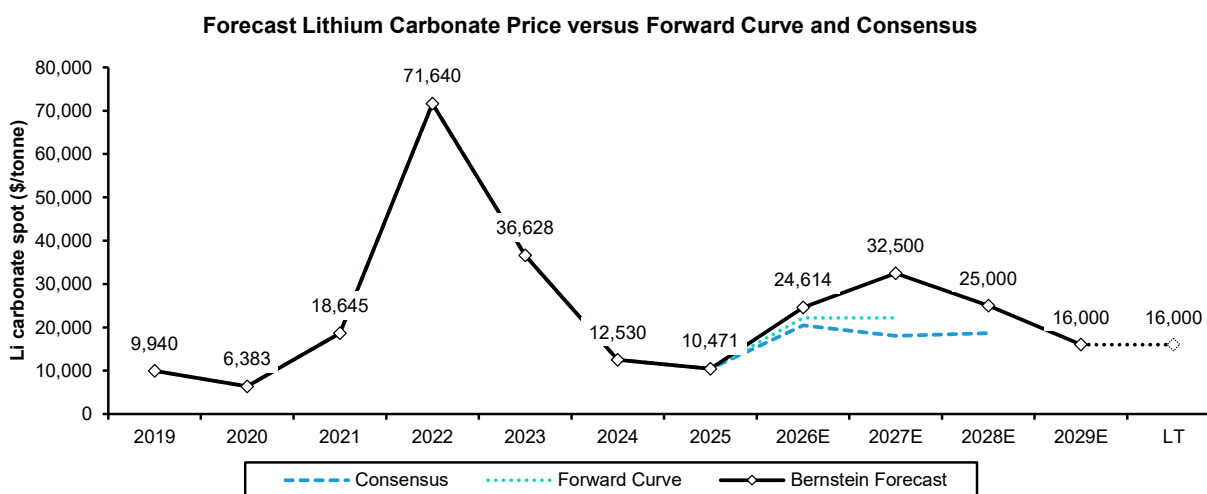
EXHIBIT 55: **Lithium refining margins have started to increase as market tightens**



Source: Bloomberg, Bernstein analysis

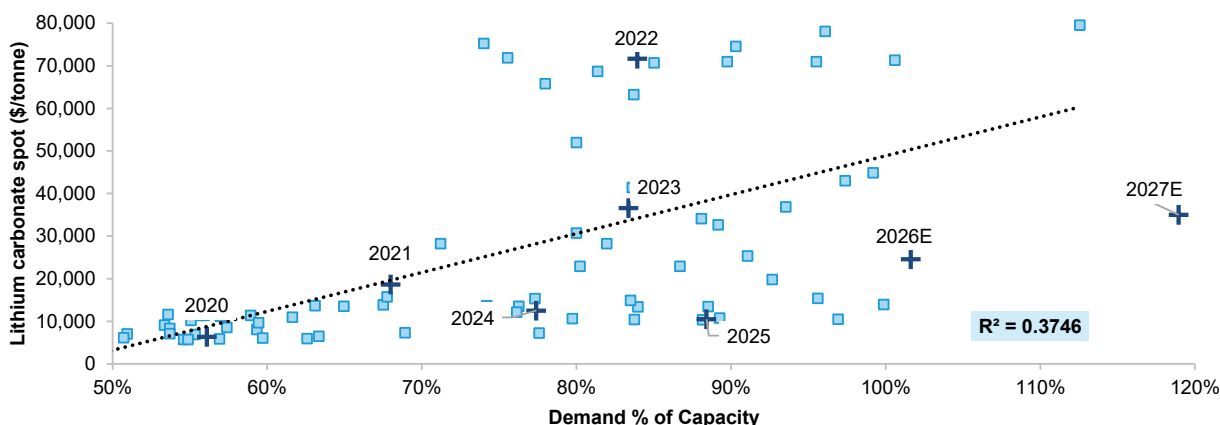
We have revised our lithium price forecast materially higher. Based on our current supply and demand outlook, we now expect spot lithium carbonate prices to average around \$24.6k/t in 2026 and \$32.5k/t in 2027. Future prices are currently trading at \$22k/t in 2026 and 2027 and consensus is lower at \$18k/t in 2027. In the long term, we believe lithium carbonate will trade at the marginal cost of supply at US\$16k/t.

EXHIBIT 56: **Based on our lithium supply and demand outlook, we expect lithium spot prices will average \$24.6k/t in 2026, \$32.5k/t in 2027 and \$16k/t long term**



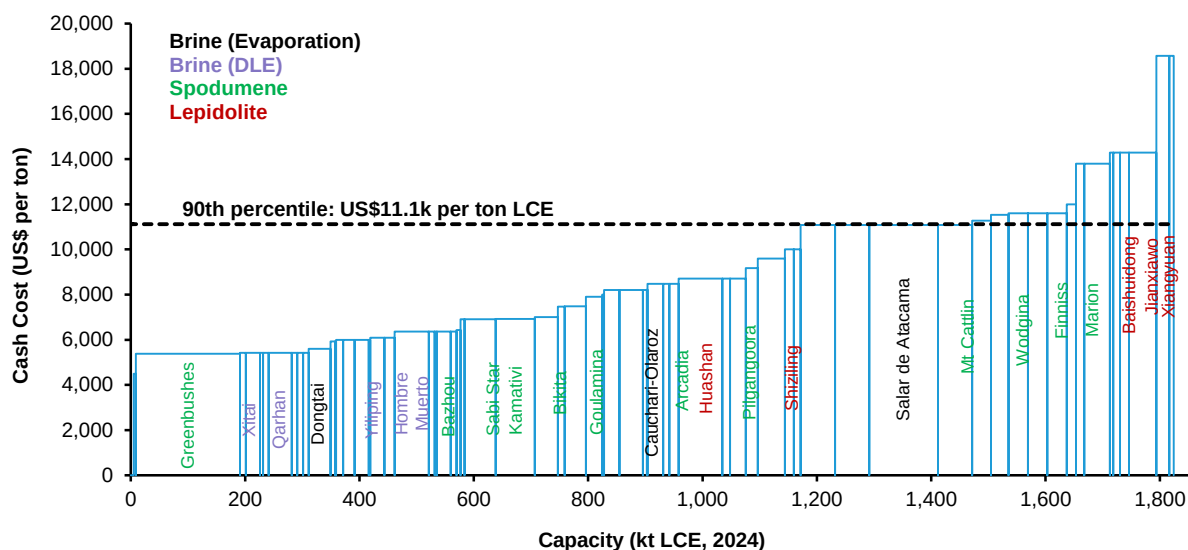
Source: Bloomberg, Bernstein estimates and analysis

Lithium carbonate spot prices have a strong relationship to lithium demand % of capacity with an R-squared of 0.37. Our price forecast for lithium carbonate price tracks this relationship based on our lithium capacity and demand outlook.

EXHIBIT 57: **Lithium carbonate price has a high correlation with demand/capacity**

Source: Company data, Bloomberg, Bernstein estimates and analysis

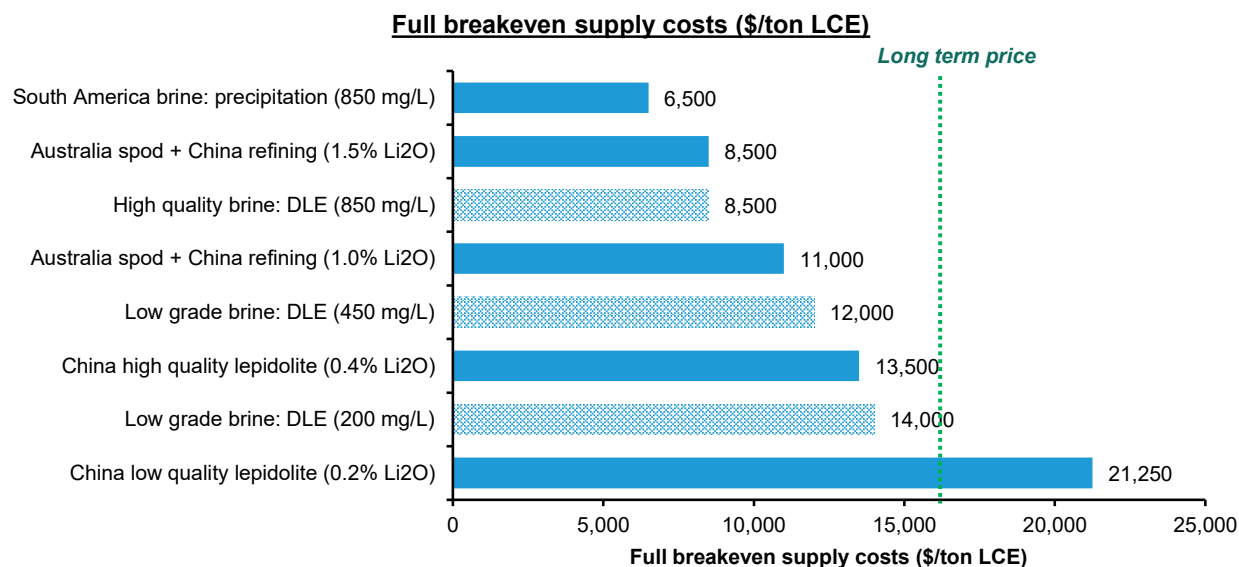
How low can lithium prices go is determined by the price at which producers will start to cut production. Marginal cash costs provide a reliable floor for lithium prices. According to our analysis, the marginal cash cost of lithium at 90th percentile is around US\$11.1k/ton which will see supply cuts below this price. In 2020, the price of lithium remained close to marginal cost for 12 months, before rising rapidly. We are currently about a year below this cash costs level so it's aligned with previous cycle as higher cost producers have cut supply.

EXHIBIT 58: **According to our analysis, the marginal cash cost of lithium at 90th percentile is around US\$11.1k/ton**

Source: Company data, Bernstein estimates and analysis

The long term price for lithium market is set by full breakeven supply costs. The full supply costs are higher than cash costs as it accounts for the capital costs of the project and depreciation over the life of the mine. Lithium price will trade above this level during market deficit or below with oversupply. We expect the long term price is US\$16k/ton based on our expectation of full supply costs for the industry. Overall economics are not favorable for many projects currently.

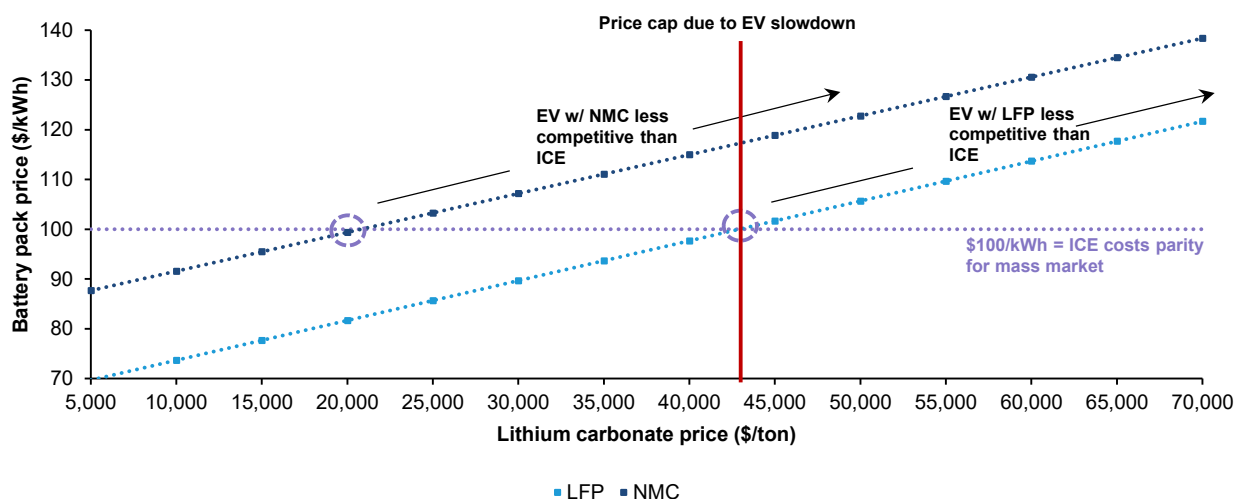
EXHIBIT 59: Full breakeven costs of lithium supply by technology. We now estimate long-term lithium price at around \$16k/t LCE



Source: Company data, Bernstein estimates and analysis

On the flip side, how high can prices go is determined by the price at which buyers are less willing to buy lithium. In other words, at what price will we see demand destruction? At \$100/kWh battery pack price or lower, OEMs can produce and sell EVs at \$30k price level and compete with ICE vehicles in the mass market. For NMC batteries, this can be achieved at lithium carbonate price of \$20k/t. Alternatively, for LFP batteries, lithium prices can go up to \$40k/t level for EVs to compete with ICE. The conclusion is that lithium prices can stay above long term price as EVs remain affordable. Reaching historical high of \$80k/t is almost certainly impossible.

EXHIBIT 60: Lithium prices are capped by EV competitiveness to ICE



Source: Baiinfo, Bloomberg, Bernstein analysis

Prices cannot rise indefinitely because end markets still need to absorb higher battery input costs. In our view, both the ESS and EV markets can still absorb lithium carbonate prices in the \$30-35k/t range, especially given how sharply battery and system costs have fallen over the last two years. That suggests there is still upside room from current price levels of around \$25k/t before demand elasticity becomes a more meaningful constraint. At the current spot lithium carbonate price, we estimate the

total BESS cost including EPC would be \$145/kWh. The cost of lithium would be \$13/kWh, accounting for 9% of the total energy storage system cost.

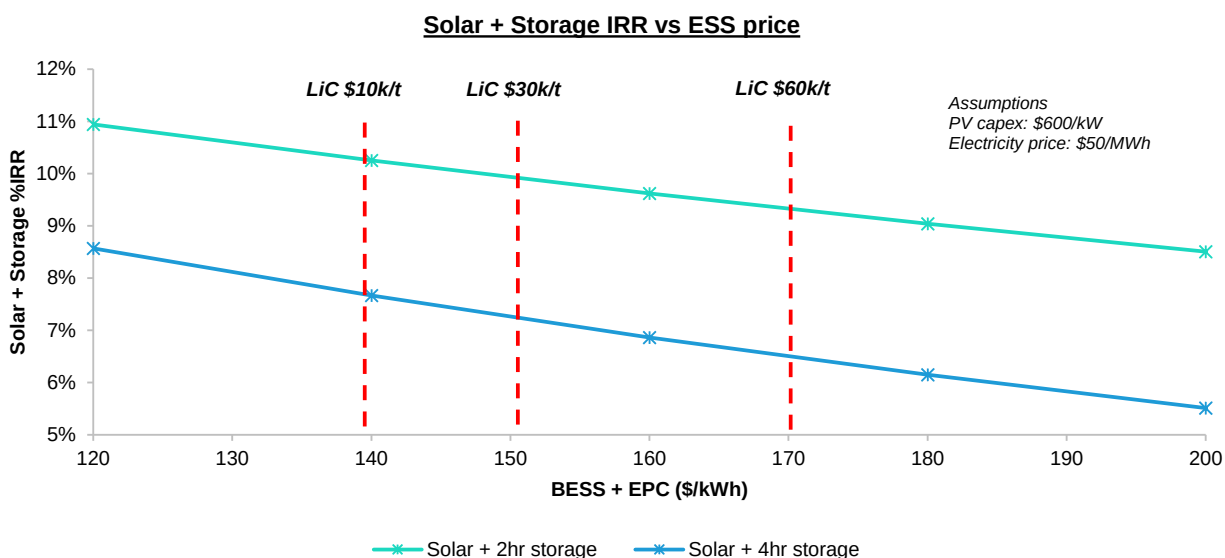
EXHIBIT 61: **Sensitivity of BESS costs to lithium prices**

LCE price (US\$/t)	10,000	20,000	30,000	40,000	50,000	60,000	70,000	80,000
Li cost	6	13	19	25	32	38	45	51
Other cell/pack components + margins	65	65	65	65	65	65	65	65
LFP pack	71	78	84	90	97	103	110	116
BESS components + margins	17	17	17	17	17	17	17	17
BESS	88	94	101	107	114	120	126	133
EPC	50	50	50	50	50	50	50	50
BESS + EPC (\$/kWh)	138	145	151	157	164	170	176	183
<i>Li cost % of BESS + EPC</i>	5%	9%	13%	16%	19%	22%	25%	28%

Source: Baiinfo, SMM, Bloomberg, Bernstein analysis

At \$145/kWh, the economics for China's solar and storage still looks fairly favorable with IRR above 10% for 2 hours storage and higher than 7% for 4 hours storage. At \$30k/t, the total ESS system cost goes up to around \$151/kWh which still looks reasonable. Overall, lithium price movements have a meaningful but not dominant impact on full ESS system cost because lithium is a big driver of cell prices but cells are only one part of the installed system.

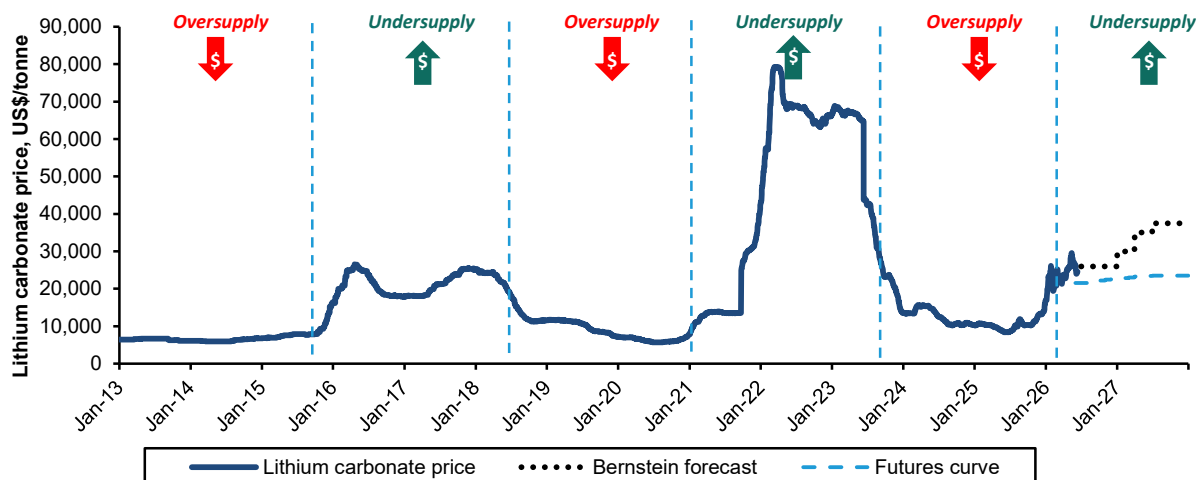
EXHIBIT 62: **Lithium is a big driver of cell prices but not too significant within total ESS cost**



Source: Baiinfo, SMM, Bloomberg, Bernstein analysis

Overall, we continue to believe lithium prices bottomed in 2025, but the market has since moved faster than expected and is now in a clear tightening phase. The industry still shows the classic features of a mid-cycle recovery: prices have rebounded, inventories have tightened, curtailed supply is starting to return, but new greenfield investment is still lagging. That combination should remain supportive through 2027.

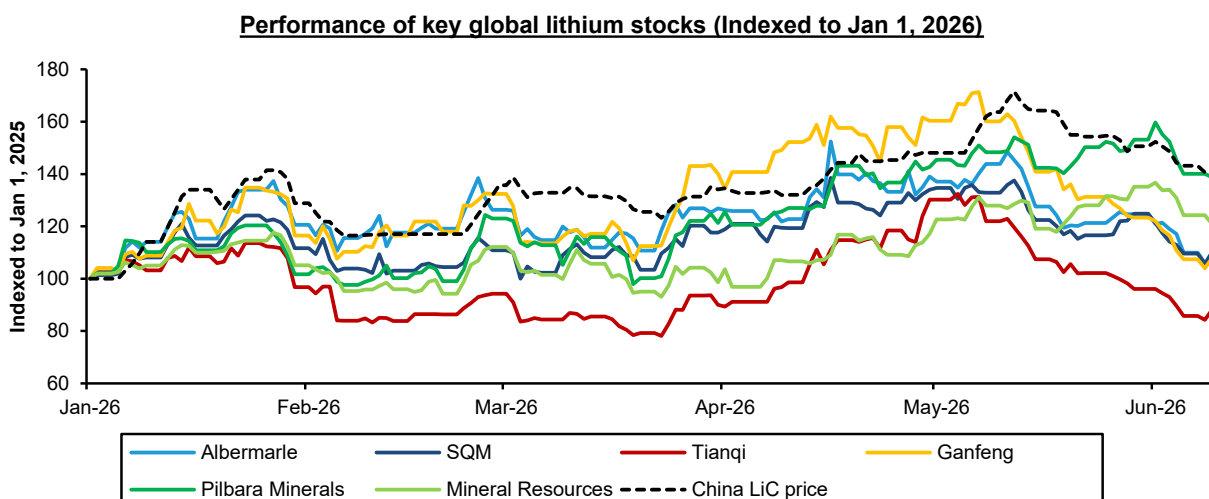
EXHIBIT 63: The setup remains positive for higher lithium prices given we are mid-cycle



Source: Bloomberg, Bernstein estimates and analysis

STOCK IMPLICATIONS

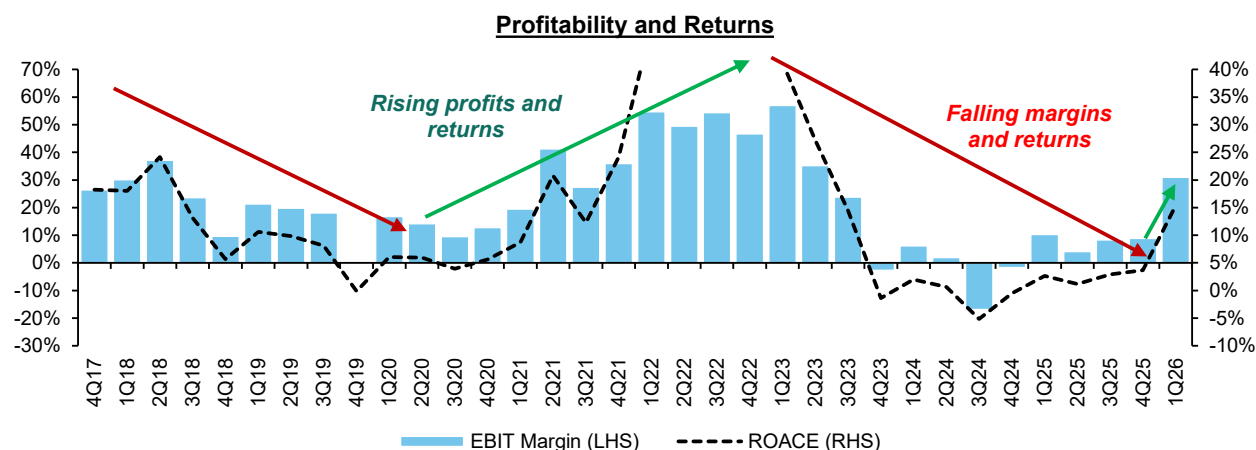
EXHIBIT 64: Lithium equities have rebounded shareply since late 2025 but we still view the market as mid-cycle



Source: Bloomberg, Bernstein analysis

The improvement in prices should lead to better profitability for lithium producers, but the industry is still recovering from a prolonged downturn. Returns on capital have been compressed for the last two years and balance sheets remain a focus for management teams. This matters because even with a stronger price signal today, the supply side is unlikely to respond immediately given prior capex cuts and the time needed to restart or expand operations.

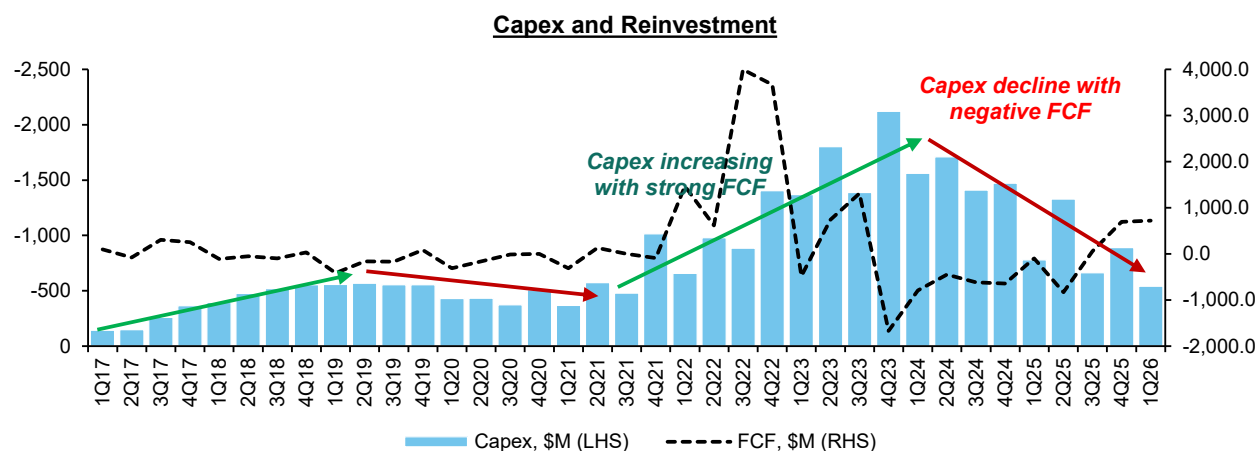
EXHIBIT 65: **Average return on capital for the industry have remained close to zero for the last two years and have only started recovering**



Source: Bloomberg, Bernstein analysis

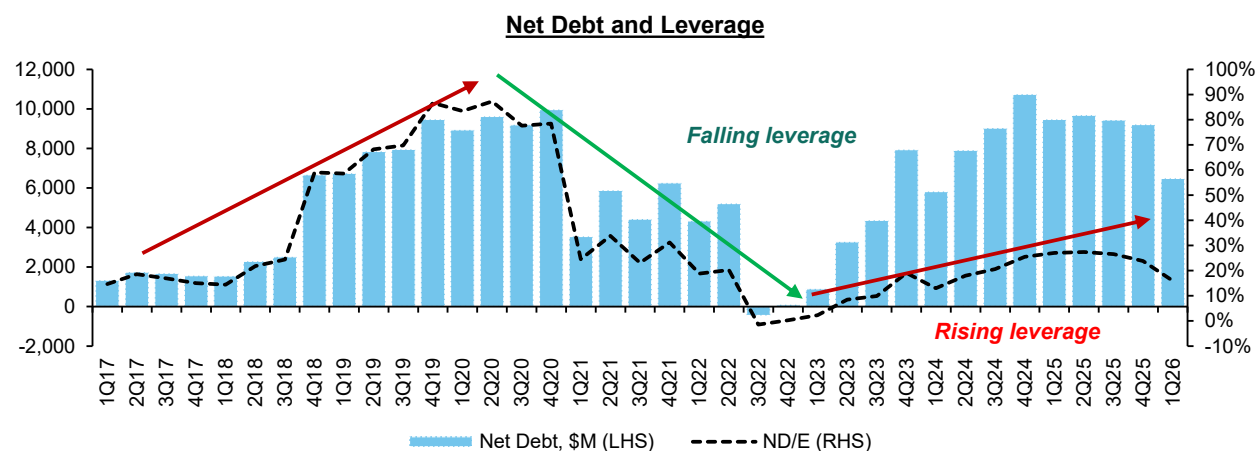
Capex peaked at the end of 2023 and fell materially through 2024 and 2025 as producers focused on preserving balance sheets. Even though spot prices have recovered, the investment response should lag because managers are unlikely to reverse course immediately after a deep downturn. In our view, that lagged capex response is one of the main reasons the market can remain tight through 2026 and into 2027.

EXHIBIT 66: **Capex is expected to have fallen by 50% in 2025 which would take lithium investments to a 3-year low. Higher price signal is required to drive new supply growth**



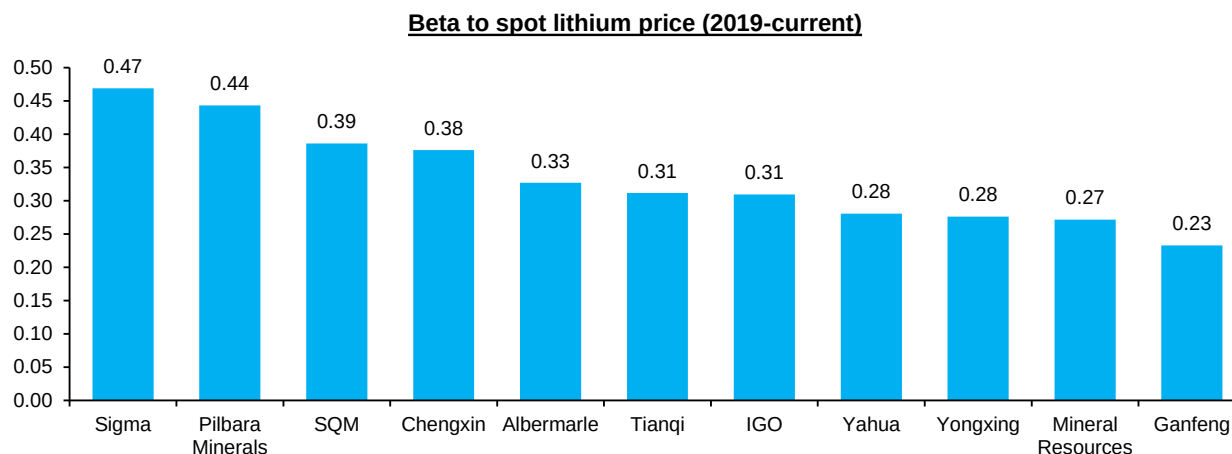
Source: Bloomberg, Bernstein analysis

While ND/E level remains reasonable at 20% currently, lithium producers are delaying new investments and expansion to preserve balance sheet strength.

EXHIBIT 67: **ND/E level remains reasonable at 20% currently**

Source: Bloomberg, Bernstein analysis

Below we show the share price beta of key lithium stocks to lithium spot price. While there are variation in the beta due to different market, country and company risk factors, generally the higher cost producers have higher beta to lithium price.

EXHIBIT 68: **Share price beta of key lithium stocks to lithium spot price**

Source: Bloomberg, Bernstein analysis

Within our coverage, Tianqi Lithium is a top pick given our positive lithium price outlook. Tianqi is one of the largest pure-play lithium producer globally with the highest returns in the battery value chain. The company has a track record of delivering superior margins driven by lower costs and asset integration. By leveraging the high-quality and low-cost lithium concentrate from the Greenbushes Mine, Tianqi is able to achieve self-sufficiency in lithium raw materials for efficient manufacturing of high-quality lithium compounds and derivatives. We expect Tianqi's share price will continue to rise ahead of our higher lithium price outlook through 2026 and 2027. Tianqi's share price has historically moved 6-12 months ahead of spot lithium carbonate prices.

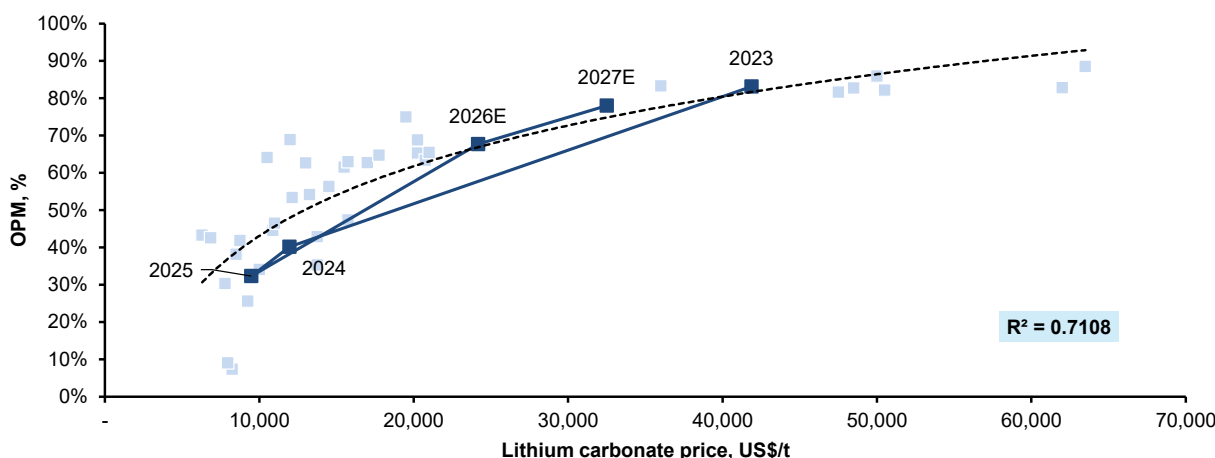
EXHIBIT 69: Tianqi's share price moves 6-12 months ahead of spot lithium prices. We expect Tianqi share price to rise, ahead of our higher price view



Source: Company data, Bernstein analysis

Tianqi Lithium typically shows operating margins that rise and fall in tandem with lithium carbonate prices. When lithium carbonate prices were very high in 2022-23, Tianqi's operating exceeded 70% but as lithium prices collapsed through 2023–2024, margins compressed sharply and the company even reported periods of net loss despite still-positive operating margins. Even though the relationship is not perfectly linear due to hedging, product mix shifts, and evolving contract versus spot pricing, we expect margins have bottomed in 2025 and will increase over 2026 and 2027.

EXHIBIT 70: Tianqi's operating margin vs lithium carbonate price



Source: Company data, Bernstein estimates and analysis

We show a summary of Tianqi's key financial metrics below. Balance sheet is strong with Tianqi generating significant FCF and net debt to equity at 18% in YE25. Overall, Tianqi has the financial strength to further grow the business and return more cash to shareholders.

EXHIBIT 71: **Tianqi Lithium financial outlook**

Tianqi									
RMB M	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	25-27 CAGR
Sales	3,239	7,663	40,449	40,503	13,063	10,346	26,949	39,019	94%
Gross Profit	1,317	4,678	34,141	34,343	5,960	4,037	19,162	31,429	179%
Operating Profit	867	4,185	33,708	33,674	5,251	3,345	18,241	30,453	202%
EBITDA	1,211	4,649	34,364	34,521	6,388	4,783	19,413	31,755	158%
Earnings	(1,834)	2,079	24,125	7,297	(7,905)	463	6,624	13,199	434%
EPS	(1.24)	1.41	15.52	4.45	(4.82)	0.28	3.90	7.75	424%
FCF	(182)	1,086	18,582	18,259	1,031	(621)	10,206	19,749	n.a.
GPM	41%	61%	84%	85%	46%	39%	71%	81%	
OPM	27%	55%	83%	83%	40%	32%	68%	78%	
P/S	30.7	13.0	2.5	2.5	7.6	9.6	3.7	2.6	
EV/S	35.4	15.0	2.8	2.8	8.8	11.1	4.3	2.9	
EV/EBITDA	94.7	24.7	3.3	3.3	17.9	24.0	5.9	3.6	
P/E	-54.3	47.9	4.1	13.6	-12.6	215.2	15.0	7.5	
ROACE	1%	16%	68%	40%	0%	4%	20%	26%	
FCF yield	0%	1%	19%	18%	1%	-1%	10%	20%	
Net Debt to Equity	364%	102%	-8%	2%	16%	18%	-2%	-19%	

Source: Company data, Bernstein estimates and analysis

Below we show our revenue and EPS estimates for Tianqi vs consensus. We are significantly higher than current consensus estimates for 2026 and 2027 driven by our higher lithium price outlook.

EXHIBIT 72: **Revenue estimates: Bernstein vs consensus**

Revenue	2025A	2026E	2027E
Report Currency			
Tianqi Lithium	10.3	26.9	39.0
Consensus (RMB bn)		27.5	28.8
		(1.9%)	35.4%

Source: Company data, Bloomberg, Bernstein estimates and analysis

EXHIBIT 73: **EPS estimates: Bernstein vs consensus**

EPS	2025A	2026E	2027E
Report Currency			
Tianqi Lithium	0.28	3.90	7.75
Consensus (RMB)		3.65	4.09
		7.1%	89.4%

Source: Company data, Bloomberg, Bernstein estimates and analysis

Our price targets for Tianqi are based on a DCF valuation using a 9% WACC (unchanged) and terminal growth rate of 2% (unchanged) which indicate a fair value of RMB80/sh (old - RMB73) for Tianqi (A-share) and HKD65/sh (old - HKD61) for Tianqi (H-share). This assumes a long term lithium carbonate price of \$16k/t.

EXHIBIT 74: **We value Tianqi on DCF with a price target of RMB80/sh for A-share and HKD65/sh for H-share**

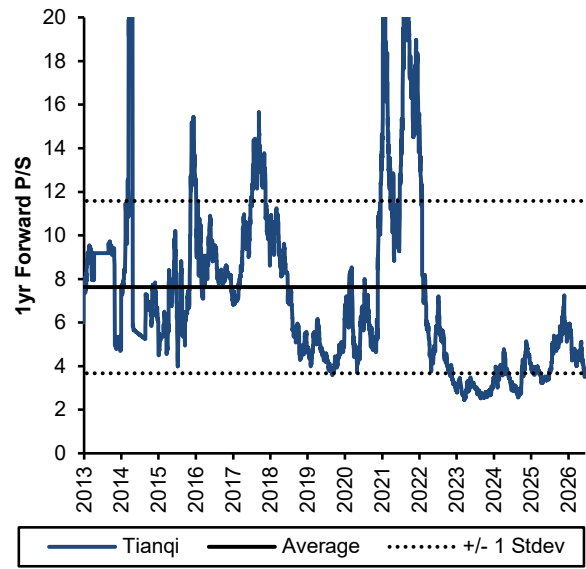
Tianqi - Discounted Cash Flow												
RMB mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-2050E	Terminal
Revenue	7,663	40,449	40,503	13,063	10,346	26,949	39,019	30,646	22,408	24,303		
Sales Growth		427.8%	0.1%	(67.7%)	(20.8%)	160.5%	44.8%	(21.5%)	(26.9%)	8.5%		
Lithium compounds ASP (RMB/t)	105,168	430,476	234,573	78,544	65,695	150,511	224,900	173,000	110,720	110,720		
Lithium compounds sales volume (kt)	48	58	57	103	87	96	98	100	102	104		
Spodumenes ASP (RMB/t)	4,797	20,342	32,204	6,735	5,706	13,239	18,742	14,417	9,227	9,227		
Spodumenes sales volume (kt)	551	759	845	739	811	946	965	984	1,004	1,024		
EBIT	4,185	33,708	33,674	5,251	3,345	18,241	30,453	22,773	13,742	14,904		
EBIT Margin	54.6%	83.3%	83.1%	40.2%	32.3%	67.7%	78.0%	74.3%	61.3%	61.3%		
Tax	1,374	8,793	10,618	1,321	967	4,994	8,096	6,280	3,987	4,279		
% of EBIT	32.8%	26.1%	31.5%	25.2%	28.9%	27.4%	26.6%	27.6%	29.0%	28.7%		
NOPAT	2,811	24,916	23,055	3,929	2,379	13,247	22,357	16,493	9,755	10,625		
D&A	464	655	848	1,138	1,438	1,172	1,302	1,433	1,495	1,586		
(CapEx)	(1,009)	(1,716)	(4,443)	(4,524)	(3,603)	(2,491)	(2,491)	(2,491)	(2,491)	(2,491)		
FCF	2,266	23,855	19,460	543	213	11,929	21,169	15,435	8,759	9,720	310,782	344,479

DCF Valuation		Yr 1-5	Yr 6-10	Yr 11-30	Terminal
WACC	9%	56,075	30,643	61,032	46,567
Assumed Perpetual Growth	2%	29%	16%	31%	24%
NPV of FCF to 2050	147,751				
Enterprise Value (EV)	194,318				
Less: Debt	15,823				
Less: Minority Interests	93,328				
Add: Cash	17,222				
Add: SQM Investments	33,599				
Equity Value (RMB M)	135,988				
Equity Value (RMB/sh) - A-shares	80.0				
Market Premium A/H shares	40%				
Equity Value (HKD/sh) - H-shares	65.0				
Target Multiple					
2026 P/E	21				
2026 P/S	5.0				

Source: Company data, Bernstein estimates and analysis

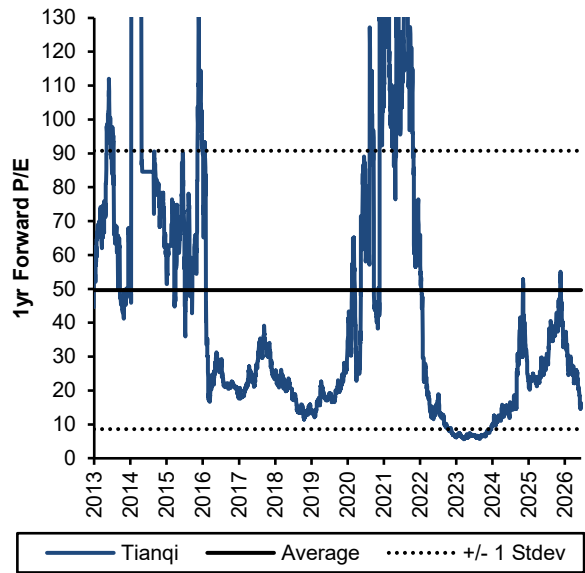
Considering Tianqi's growth outlook and a more bullish market stance, current valuation looks reasonably attractive with potential to trade above its long term average. Tianqi's stock is currently trading at 17x 1-year forward P/E which is below the long term average of 50x. 1-year forward P/S is trading at 4x which is still lower than long term 8x.

EXHIBIT 75: Tianqi's 1yr forward P/S



Source: Bloomberg, Bernstein analysis

EXHIBIT 76: Tianqi's 1yr forward P/E



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 77: Tianqi Lithium's financial forecast

Income Statement (RMB M)	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	40,449	40,503	13,063	10,346	26,949	39,019	30,646	22,408
Operating tax and surcharge	-290	-79	-59	-47	-162	-234	-184	-134
Net revenue	40,158	40,424	13,005	10,299	26,788	38,785	30,462	22,273
COGS	-6,017	-6,082	-7,045	-6,262	-7,625	-7,356	-6,750	-7,630
Gross profit	34,141	34,343	5,960	4,037	19,162	31,429	23,711	14,643
S&M expenses	-29	-34	-16	-10	-27	-39	-31	-22
G&A expenses	-377	-605	-650	-634	-800	-800	-800	-800
R&D expenses	-27	-30	-44	-48	-94	-137	-107	-78
Operating income	33,708	33,674	5,251	3,345	18,241	30,453	22,773	13,742
Finance income (expense)	-675	-16	-899	226	-307	-427	-163	-306
Investment income	1,951	-7	-30	-101	0	0	0	0
Share of profit of associate/JCE	5,895	3,117	-809	648	2,281	2,598	2,751	2,751
Other non-operating income (expense)	-979	-487	-2,220	-149	-240	-240	-240	-240
Profit before income tax	39,901	36,281	1,292	3,969	19,976	32,385	25,121	15,947
Income tax expense	-8,793	-10,618	-1,321	-967	-4,994	-8,096	-6,280	-3,987
Net income	31,108	25,663	-29	3,003	14,982	24,289	18,841	11,961
Minority interest	6,984	18,366	7,875	2,540	8,358	11,090	6,964	5,024
Net income attributable to equity holders	24,125	7,297	-7,905	463	6,624	13,199	11,877	6,937
EPS (RMB/sh)	15.52	4.45	-4.82	0.28	3.90	7.75	6.97	4.07
GPM	84%	85%	46%	39%	71%	81%	77%	65%
OPM	83%	83%	40%	32%	68%	78%	74%	61%
NPM	77%	63%	0%	29%	56%	62%	61%	53%
Revenue %YoY	428%	0%	-68%	-21%	160%	45%	-21%	-27%
OP %YoY	705%	0%	-84%	-36%	445%	67%	-25%	-40%
NI %YoY	1101%	-18%	-100%	n.a.	399%	62%	-22%	-37%
Balance Sheet (RMB M)	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Cash and cash equivalents	12,461	9,589	5,767	4,382	17,222	32,352	48,172	59,111
Trade receivables (A/R)	10,489	4,463	2,268	1,702	7,383	10,690	8,396	6,139
Inventories	2,144	3,151	2,289	2,406	2,925	2,822	2,589	2,927
Other current assets	896	2,427	2,526	3,392	3,392	3,392	3,392	3,392
Current assets	25,990	19,629	12,850	11,882	30,922	49,255	62,549	71,568
Long-term equity investments	25,582	26,874	26,251	26,186	26,186	26,186	26,186	26,186
Property, plant and equipment	11,801	16,367	17,617	20,762	22,308	23,720	25,029	26,235
Other non-current assets	7,473	10,359	11,960	13,280	13,054	12,830	12,579	12,369
Non-current assets	44,857	53,599	55,828	60,228	61,547	62,736	63,794	64,790
Total assets	70,846	73,228	68,678	72,110	92,469	111,991	126,343	136,358
Trade payables (A/P)	2,711	2,520	1,601	1,436	4,178	4,031	3,699	4,181
Short-Term Borrowings	173	1,090	2,413	2,178	1,299	1,299	1,299	1,299
Other current liabilities	4,670	3,049	1,027	656	656	656	656	656
Current liabilities	7,555	6,660	5,041	4,270	6,134	5,987	5,655	6,137
Long-Term Borrowings	8,263	9,545	11,203	11,617	14,524	14,524	14,524	14,524
Other non-current liabilities	1,960	2,787	3,251	4,331	4,331	4,331	4,331	4,331
Non-current liabilities	10,224	12,332	14,454	15,948	18,855	18,855	18,855	18,855
Total liabilities	17,779	18,992	19,496	20,218	24,989	24,841	24,509	24,991
Total equity	53,068	54,237	49,182	51,892	67,481	87,150	101,834	111,366
Total liabilities and equity	70,846	73,228	68,678	72,110	92,469	111,991	126,343	136,358
Cash flow statement (RMB M)	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Net Income	31,108	25,663	-29	3,003	14,982	24,289	18,841	11,961
Depreciation & Amortisation	655	848	1,138	1,438	1,172	1,302	1,433	1,495
Change in working capital	-4,668	361	-126	-1,461	-3,457	-3,351	2,195	2,402
Others	-6,798	-4,183	4,572	-19	0	0	0	0
Net cash from operating activities	20,298	22,688	5,554	2,961	12,696	22,239	22,468	15,857
Increase in assets (tangible/intangible)	-1,716	-4,429	-4,523	-3,582	-2,491	-2,491	-2,491	-2,491
Others	2,460	2,406	-1,361	-900	0	0	0	0
Net cash from investing activities	744	-2,023	-5,883	-4,482	-2,491	-2,491	-2,491	-2,491
Borrow/Repay	-12,542	1,983	3,048	963	2,028	0	0	0
Equity	11,284	550	5	0	2,924	0	0	0
Dividends	-9,085	-25,757	-6,186	-1,253	-2,319	-4,620	-4,157	-2,428
Others	-227	-214	-108	-139	0	0	0	0
Net cash from financing activities	-10,571	-23,438	-3,241	-428	2,634	-4,620	-4,157	-2,428
Net increase in cash and cash equivalents	10,471	-2,773	-3,570	-1,950	12,840	15,129	15,821	10,938
Cash and cash equivalents at beginning of year	1,766	12,290	9,330	5,635	4,382	17,222	32,352	48,172
FX effect	224	71	7	697	0	0	0	0
Cash and cash equivalents at end of the year	12,461	9,589	5,767	4,382	17,222	32,352	48,172	59,111
Net Debt to Equity	-8%	2%	16%	18%	-2%	-19%	-32%	-39%

Source: Company data, Bernstein estimates and analysis

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